

***DINO POLSKA S.A.***

FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2018  
ALONG WITH THE INDEPENDENT STATUTORY AUDITOR'S AUDIT REPORT

Krotoszyn, 14 March 2019

Unofficial translation. Only the original Polish text is binding.

DINO POLSKA S.A.  
Financial statements for the year ended 31 December 2018  
(in thousands of PLN)

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## **INTRODUCTION TO THE FINANCIAL STATEMENTS**

### **1. GENERAL INFORMATION**

DINO Polska S.A. ("Company") was established by notary deed on 9 November 2007.

The Company is entered in the register of commercial undertakings of the National Court Register kept by the District Court, 9th Commercial Division of the National Court Register under file number KRS 0000408273.

The Company has been given the following statistical number: REGON 300820828.

The Company's registered office is located at the following address: Ostrowska 122, 63-700 Krotoszyn.

The Company's duration is unlimited.

According to the Company's articles of association, the Company's core business is:

1. 47.11.Z Retail sale in non-specialized stores with food, beverages or tobacco products predominating,
2. 46.39.Z Non-specialized wholesale of food, beverages and tobacco products.

These financial statements have been prepared for the year ended 31 December 2018.

### **2. GOING CONCERN ASSUMPTION**

The Company's financial statements were drawn up under the assumption that the Company remains a going concern for at least 12 months after the balance sheet date, i.e. after 31 December 2018. As at 31 December 2018, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where a predominant part of sales is made for cash, inventories are minimized, and suppliers offer deferred payment terms. At the same time, the Company intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Conditions precedent related to the loan agreements are monitored on an ongoing basis and as of now, in the opinion of the Management Board, there is no risk of termination of these agreements by the banks. The Company's Management Board did not identify, as at the date of signing the financial statements, any other facts or circumstances that would point to any threat to the Company's ability to continue its activity for at least 12 months after the balance sheet date as a result of intentional or induced discontinuation or material curtailment of its existing activity.

### **3. MERGERS OF COMMERCIAL COMPANIES**

In the financial year for which the financial statements were drawn up, the Company merged with a subsidiary, and this has been described in note 45. During the reporting period, the Company did not acquire an organized part of a business.

### **4. ADOPTED ACCOUNTING PRINCIPLES (POLICIES)**

#### **4.1. Format and grounds for drawing up the financial statements**

The financial statements were drawn up pursuant to the provisions of the Accounting Act of 29 September 1994 (hereinafter "Accounting Act").

The financial statements have been prepared under the historical cost convention.

The Company has drawn up its profit and loss account by using the comparative format. The statement of cash flows has been drawn up using the indirect method.

#### **4.2. Intangible assets**

Intangible assets are recognized if it is likely that they will precipitate receipt of economic benefits by the Company which may be directly linked to these assets. Intangible assets are initially captured at purchase price or production cost. After the initial capture, intangible assets are carried at purchase price or production cost minus accumulated depreciation and impairment charges. Intangible assets are depreciated by straight-line depreciation over the period corresponding to the estimated period of their useful life.

The anticipated period of useful life is as follows:

|                                  |                |
|----------------------------------|----------------|
| Patents, licenses and trademarks | 2 - 20 years   |
| Software                         | 2 - 7 years    |
| Other intangible assets          | Not applicable |

The estimates of the period of useful life and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by these intangible assets.

As at the balance sheet date, the Company evaluates whether the carrying amount of presented assets does not exceed the value of future expected economic benefits. If there are grounds indicating such a fact, the carrying amount of the assets is reduced to the net sale price level. Impairment charges are posted in other operating expenses.

#### **4.3. Fixed assets**

Fixed assets are carried at purchase price or production cost minus accumulated depreciation or impairment charges. In the case of perpetual usufruct right to land, the purchase price is construed as the price of purchase of the right from a third party or surplus of the first fee over the annual fee if the right was acquired for a fee from the municipality. Land is carried at purchase price minus any impairment charges.

As at 31 December 2018 the Company had no fixed assets subject to revaluation.

The costs incurred after commencing the usage of a fixed asset, such as the costs of repair, inspections and user fees, affect the financial result of the financial year in which they were incurred. However, if it is possible to prove that these costs increased the expected future economic benefits on account of holding the fixed asset, surpassing the benefits assumed originally, then they increase the initial value of the fixed asset.

Fixed assets, with the exception of land, are depreciated by using the straight-line method corresponding to the expected period of their useful life or over the shorter of the two periods:

|                                                                                     |                 |
|-------------------------------------------------------------------------------------|-----------------|
| Perpetual usufruct right to land                                                    | Not depreciated |
| Buildings, premises, rights to premises and civil and marine engineering facilities | 10 - 40 years   |
| Technical equipment and machinery                                                   | 3 - 12 years    |
| Means of transport                                                                  | 5 - 7 years     |
| Other fixed assets                                                                  | 3 - 12 years    |

The estimates of the period of useful life and the depreciation method are reviewed at the end of every financial year to verify whether the applied methods and the depreciation period are consistent with the expected distribution of economic benefits generated by that fixed asset over time.

As at the balance sheet date, the Company evaluates whether the carrying amount of presented assets does not exceed the value of future expected economic benefits. If there are grounds indicating such a fact, the carrying amount of the assets is reduced to the net sale price level. Impairment charges are posted in other operating expenses.

#### **4.4. Fixed assets under construction**

Fixed assets under construction are carried at the total amount of costs directly related to their purchase or manufacture, including financial expenses, minus impairment charges. Investment materials are also shown in fixed assets under construction. Fixed assets under construction are not depreciated until their construction is completed and they are commissioned.

#### **4.5. Related entities**

The Company construes related entities as two or more companies from a group where a group is understood as a parent company together with its subsidiaries.

#### **4.6. Investments in subordinated entities, capital exposure and other non-current investments**

Investments in subordinated entities comprise investments in subsidiaries, co-subsidiaries and affiliates. The Company construes subsidiaries as entities controlled by the Company, co-subsidiaries as entities co-controlled

by the shareholders under a shareholder agreement, and affiliates as entities in which it has capital exposure and on which it has significant influence. At the same time exposure to capital of another entity is understood by the Company as any share in the equity of such other entity that has the nature of a permanent relation. In the case of an affiliate, a permanent relation is present always unless disposal of the share soon after the date of its acquisition, purchase or obtaining in another form is highly probable.

Investments in subsidiaries, co-subsidiaries and affiliates are carried at historical cost minus any impairment.

Other non-current investments (excluding financial assets as described in note 4.8) are carried at historical cost minus any impairment.

Impairment of shares in subordinated entities and other non-current investments is estimated as at every balance sheet date. The carrying amount of such assets is each time reviewed to determine whether or not it exceeds the value of future economic benefits.

#### **4.7. Other short-term investments (excluding cash and financial assets)**

Other short-term investments, except for cash and financial instruments, are marked to the lower of the market price (value), while short-term investments for which there is no active market, are carried at fair value.

The effects of increase or decrease of the value of short-term investments at market prices (values) are posted directly to financial income or cost.

#### **4.8. Financial assets**

Financial assets, at the time they are entered in the accounting ledgers, are carried at cost (purchase price) constituting the fair value of the amount paid. Transaction costs are included in the initial value of the financial instruments. Financial assets are posted in the accounting ledgers as at the transaction date.

After the initial recognition, financial assets are classified in one of the four categories and measured as follows:

| <i>Category</i>                        | <i>Valuation method</i>                                                                                                                                                                                                                                  |
|----------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Financial assets held to maturity   | At the adjusted purchase price (amortized cost) calculated using the effective interest rate                                                                                                                                                             |
| 2. Granted loans and own receivables   | At the adjusted purchase price (amortized cost) calculated using the effective interest rate. Receivables with a short-term maturity, for which no interest rate was defined, are carried at the required payment amount                                 |
| 3. Financial assets held for trading   | At fair value and gains/losses on their revaluation are posted to the profit and loss account                                                                                                                                                            |
| 4. Available for sale financial assets | At fair value, while gains/losses on their revaluation are recognized in the profit and loss account until the investment is sold or its value is impaired. At that moment, the overall revaluation gain/loss is recorded in the profit and loss account |

The fair value of financial instruments traded on an active market is calculated in reference to the prices quoted on that market as at the balance sheet date. If no market price is quoted, then the fair value is estimated on the basis of a quoted market price of a similar instrument or according to the expected cash flows.

#### **Impairment of financial assets**

As at every balance sheet date, the Company evaluates whether there is objective evidence indicating impairment of a financial asset or a group of financial assets. If such evidence exists, the Company determines the asset value that may be estimated to be recoverable and posts an impairment loss in the amount of the difference between the recoverable amount and the carrying amount.

Impairment losses concerning a single financial asset or a portfolio of similar financial assets are determined:

- 1) for financial assets carried at adjusted purchase price – as the difference between the value of such assets resulting from the accounting ledgers as at the valuation date and the recoverable amount. The recoverable amount is the present value of future cash flows expected by the entity, discounted by the effective interest rate applied hitherto by the entity in its valuation of the financial asset being revalued or the portfolio of similar financial assets being revalued,

- 2) for financial assets carried at fair value – as the difference between the purchase price of the relevant asset and its fair value determined as at the valuation date, where the fair value of debt financial instruments as at the valuation date is construed as the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments. Accumulated loss captured hitherto in revaluation capital is posted to financial expenses in an amount of no less than the charge minus the part directly posted to financial expenses,
- 3) for other financial assets – as the difference between the value of the relevant asset resulting from the accounting ledgers and the present value of future cash flows expected by the entity, discounted by the current market interest rate applied to similar financial instruments.

#### **4.9. Leases**

The Company is a party to leasing agreements pursuant to which it accepts third party fixed assets or intangibles to use them or draw benefits from them against a charge for an agreed period of time.

In the case of leasing agreements which transfer generally the entire risk and all benefits resulting from holding the assets subject to the agreement, the leased item is presented as a fixed asset in the balance sheet and at the same time a liability is posted in the amount equal to the present value of minimum leasing fees set on the leasing commencement date.

Leasing fees are allocated to financial expenses and to the reduction of principal debt balance in a manner enabling the achievement of a fixed interest rate on the outstanding liability. Financial expenses are captured directly in the profit and loss account.

Fixed assets subject to a financial leasing agreement are depreciated according to the method applied to own fixed assets. However, if there is no control over the moment of transfer of the ownership title to the leased item or certainty whether such transfer has been effected, then fixed assets used under financial leasing agreements are depreciated over the shorter of the two following periods: the expected utilization period or the leasing period.

#### **4.10. Inventories**

Inventories are measured at purchase price, no higher than their net realizable price.

The purchase price or the production cost of an inventory component takes into account the costs of purchase, the costs of conversion and other equipment costs incurred in bringing the inventories to make their present location and condition - both in terms of the current and the previous year - and are determined as follows:

|                                     |                                                                                                                                                                                                         |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Materials                           | at purchase price using the “first in, first out” method                                                                                                                                                |
| Finished goods and work in progress | the cost of direct materials and labor and an appropriate overhead of indirect manufacturing costs determined under the assumption of normal production capacity utilization, excluding borrowing costs |
| Merchandise                         | at purchase price using the “first in, first out” method                                                                                                                                                |

The net realizable price is the estimated sales price that can be achieved in the course of the entity’s normal business, less the costs of finishing and the estimated costs required to finalize the sale. The costs of transport from the warehouse to the stores are an element of valuation of the inventories and cost of sales at the time of their sale.

#### **4.11. Short and long-term receivables**

Trade receivables are shown as the amount of the required payment minus the impairment losses.

Receivables are revalued taking into account the probability of their payment, by posting an impairment loss. Impairment losses against receivables are carried to other operating expenses or financial expenses, respectively, depending on the type of receivables to which the impairment loss applies.

Receivables that have been forgiven, expired or are uncollectible reduce the impairment loss posted previously.

Receivables that have been forgiven, expired or are uncollectible, for which impairment losses were not posted or where they were posted at a less than full amount, are included in other operating expenses or financial expenses, respectively.

#### **4.12. Transactions denominated in a foreign currency**

Transactions denominated in currencies other than the Polish zloty are converted into Polish zloty at the exchange rate applied on the date of the transaction or, if it is impossible to apply such an exchange rate, at the average exchange rate announced for the relevant currency by the National Bank of Poland on the date preceding the date of the transaction.

As at the balance sheet date, the assets and liabilities denominated in currencies other than the Polish zloty are converted into Polish zloty using the average exchange rate in force on that date for the relevant currency as announced by the National Bank of Poland. The foreign exchange gains and losses resulting from such conversion are captured respectively as financial income or financial expense line items or, in the cases defined by the law, are capitalized in the value of assets.

The following exchange rates have been adopted for the purposes of the valuation:

|     | <i>31 December 2018</i> | <i>31 December 2017</i> |
|-----|-------------------------|-------------------------|
| EUR | 4.3000                  | 4.1709                  |

#### **4.13. Cash and cash equivalents**

Cash at bank and in hand is valued at par value.

Cash and short-term deposits disclosed in the balance sheet include cash at bank and cash in hand, as well as short-term deposits with an original maturity of up to three months and cash in transit due to payment cards. The balance of cash and cash equivalents presented in the statement of cash flows consists of the aforementioned cash and cash equivalents.

#### **4.14. Deferred revenue**

The Company records accruals and prepayments of costs if they apply to future reporting periods. Accruals and pre-paid expenses are made at the amount of the probable liabilities for the current reporting period.

#### **4.15. Share capital**

Share capital is captured in the amount stated in the Company's articles of association and entered in the court register. If shares are subscribed for at a price exceeding their par value, the share premium is captured in supplementary capital. The costs incurred for the issue of new shares decrease supplementary capital from the issue of shares above par value to the amount of such capital. Other costs are classified as financial expenses.

Any advances toward the dividend disbursed during the year are presented in the accounting ledgers and in the balance sheet as profit distributions made during the financial year.

#### **4.16. Provisions**

Provisions are recognized when the Company has an obligation (legal or constructive) resulting from past events and when it is certain or highly probable that the discharge of this obligation will cause an outflow of funds embodying economic benefits, and when the amount of the obligation may be reliably estimated.

#### **4.17. Bank loans, other loans and financial liabilities held for trading**

At the time of initial recognition, bank loans and other loans are carried at cost, corresponding to the value of received cash, taking into account the costs associated with obtaining the loan (transaction costs). Next, all bank loans and other loans, except for liabilities held for trading, are carried at adjusted purchase price (amortized cost) calculated using the effective interest rate.

Financial liabilities held for trading, including derivative instruments, are carried at fair value. Gains or losses on revaluation to fair value are posted to the profit and loss account for the current period.



#### **4.18. Trade payables**

The amount of trade payables is determined by discounting projected future cash flows to their present value using pre-tax discount rates reflecting current market estimates of the time value of money and risks, if any, specific to a given obligation. If a discounting-based method was used, an increase of a liability associated with passage of time is recognized as financial expenses. The Company assumes the discount rate at the level of the average interest rate on its financial liabilities in the period.

Trade payables in reverse factoring are presented in the line item "Trade and other payables" in current liabilities, provided that the reverse factoring has not caused a significant change in the terms of payment. The assessment of whether a fundamental change in the conditions of payment has occurred is the Management Board's judgment described in the section professional judgment of the financial statements.

#### **4.19. Cost of external financing**

The cost of external funding related to construction, adjustment, installation or improvement of fixed assets is captured, throughout the construction, adjustment, installation or improvement period, at the value of such assets, provided that these liabilities have been incurred for that purpose.

Financial expenses pertaining to financing with trade liabilities adjust the value of goods sold, inventories, liabilities and receivables, and are captured in the profit and loss account as interest cost.

#### **4.20. Deferred tax**

Deferred income tax is calculated by using the method of balance sheet liabilities in relation to all temporary differences as at the balance sheet date between the tax value of assets and liabilities and their carrying amount shown in the financial statements.

The deferred income tax provision is recognized with reference to all positive temporary differences unless the deferred income tax provision is recognized as a result of depreciating goodwill or initial presentation of an asset or liability in a transaction which does not constitute a business combination and at the moment of its execution has no influence on the gross financial result and taxable income or taxable loss.

The deferred income tax provision is recognized with reference to all positive temporary differences ensuing from investments in subsidiaries or associates, and interests in joint ventures, except for situations in which the timing and amounts of the temporary differences being reversed are subject to control or it is probable that the temporary differences will not reverse in the foreseeable future.

The deferred income tax asset is carried, with respect to all negative temporary differences and unused tax losses brought forward to the subsequent years, at such a probable expected taxable income amount as will make it possible to use those differences and losses unless deferred tax assets are created as a result of an initial presentation of an asset or liability component in a transaction that does not constitute a merger of entities and at the moment of its execution it has no influence on the gross financial result, taxable income or taxable loss.

In the case of deductible temporary differences associated with shares in subsidiaries or associates and interests in joint ventures, the related deferred tax asset is recognized in the balance sheet only for the amount of the taxable income, in respect to which it is probable that it can be expected to be generated in the foreseeable future (as a result of the reversal of these temporary differences) which would enable the deductible temporary differences to be offset.

The carrying amount of the deferred income tax asset is verified on every balance sheet date and is gradually reduced by the amount by which the achievement of taxable income sufficient for the deferred income tax asset is partially or fully realized.

Deferred tax assets and deferred tax liabilities are measured using tax rates that will be applied according to the regulations enacted up to the balance sheet date at the time when the asset is realised or the liability is settled.

#### **Uncertainty related to tax settlements**

Regulations regarding VAT, corporate income tax and social security contributions are subject to frequent changes. These frequent changes result in there being little point of reference, interpretations not consistent and few established precedents that may be followed. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations both between government bodies, and between government bodies and companies.

Tax settlements and other areas of activity (e.g. customs or foreign currency related issues) may be subject to inspection by administrative bodies authorized to impose high penalties and fines, and any additional taxation liabilities calculated as a result must be paid together with high interest. These conditions mean that the tax risk in Poland is higher than in countries with a more mature fiscal system.

Accordingly, the amounts presented and disclosed in the financial statements may change in the future as a result of a final decision of tax audit authorities.

Effective 15 July 2016, the Polish Tax Code was amended for the General Anti-Abuse Rule (GAAR) provisions. GAAR is intended to prevent the creation and use of artificial legal arrangements to avoid payment of tax in Poland.

GAAR defines tax avoidance as an act carried out primarily in order to achieve a tax benefit, contrary in the circumstances to the object and goal of a provision of a tax act. Pursuant to GAAR, such an act does not result in a tax benefit, if the mode of action was not genuine. All unjustified (i) split of operations, (ii) involvement of intermediary entities without any economic or business justification, (iii) elements that compensate or exclude each other and (iv) other actions with a similar effect to the previously mentioned, may be considered as prerequisites of artificial activities subject to GAAR. The new regulation will require significantly more judgment in assessment of the tax consequences of individual transactions.

The GAAR clause is effective with respect to transactions executed following its entry into force and transactions that were carried out before, but the benefits were / are being derived after the date of its entry into force. Implementation of the above provisions will enable the Polish tax authorities to challenge legal arrangements used by the taxpayers such as group restructurings and reorganizations.

Deferred tax assets and deferred tax provisions are presented separately in the balance sheet.

#### **4.21. Recognition of revenues**

Revenues are recognized in the amount to which it is probable that the Company will obtain the economic benefits which may be valued credibly.

##### **4.21.1. Sales of merchandise and products**

Revenues are captured when the significant risk and benefits arising from the title to the merchandise or products are transferred to the buyer. Revenues include due or obtained amounts from sales minus value added tax.

Revenues on sales of services are presented as revenues on sales of products. These revenues are recognized at the time of completion of the service. Revenues related to the benefits from the sale of services to suppliers of goods (e.g. marketing services), the Group presents as a deduction in cost of goods purchased from such vendors.

##### *Settlement of revenue under contracts with suppliers*

The Company enters into contracts with suppliers on whose basis rebates, discounts and additional remuneration and fees are awarded to the Company, hinging, among other things, on the volume of purchases and related to promotions and marketing. The Company recognizes the benefits derived from these contracts by subtracting them from the purchase price of merchandise from suppliers and accordingly a reduction in the cost of goods sold presented in the statement of profit or loss as cost of sales at the time of sale of the merchandise. The justified portion of the benefits received is allocated to unsold merchandise as at the balance sheet date as a reduction in the value thereof.

##### **4.21.2. Interest**

Interest income is recognized at the time it is accrued (using the effective interest rate) if its receipt is not doubtful.

##### **4.21.3. Dividends**

Dividends due are posted as financial income as at the date of adoption of the resolution, by the Shareholder Meeting of the company in which the entity has invested, to distribute the profit by way of a dividend unless the resolution specifies another dividend right day.

##### **4.21.4. Subsidies and grants**

Subsidies and grants are carried at fair value in situations where there is sufficient certainty that the subsidy will be obtained and that all the conditions necessary to obtain the subsidy will be fulfilled. If the subsidy or grant is

related to a cost item, then it is deferred in the balance sheet and regularly captured in the relevant income item in a manner ensuring commensurability with the costs intended to be offset by the subsidy.

If the purpose of the subsidy or grant is to finance the purchase or manufacturing of a fixed asset, then it is deferred in the balance sheet and captured as income throughout the period of depreciation of the fixed asset.

#### **4.21.5. Social assets and liabilities of the Company Social Benefit Fund (ZFŚS)**

Pursuant to the Company Social Benefit Fund Act of 4 March 1994 (as amended), the Company Social Benefit Fund must be established by employers employing at least 20 employees on an FTE basis. The Company does not charge and does not have funds for the Social Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated version of 31 October 2013, as amended).

DINO POLSKA S.A.  
Financial statements for the year ended 31 December 2018  
Balance sheet

**BALANCE SHEET**

**Assets**

(in thousands of PLN)

|                                                                                                   | Note     | As at<br>31.12.2018 | As at<br>31.12.2017* |
|---------------------------------------------------------------------------------------------------|----------|---------------------|----------------------|
| <b>A. Non-current assets</b>                                                                      |          | <b>2,031,010</b>    | <b>1,547,215</b>     |
| <b>I. Intangible assets</b>                                                                       | <b>6</b> | <b>22,868</b>       | <b>22,486</b>        |
| 3. Other intangible assets                                                                        |          | 22,868              | 22,486               |
| <b>II. Property, plant and equipment</b>                                                          | <b>7</b> | <b>1,256,963</b>    | <b>773,843</b>       |
| 1. Fixed assets                                                                                   |          | 1,184,076           | 722,390              |
| a) land (including the right of usufruct to land)                                                 |          | 215,673             | 126,267              |
| b) buildings, premises, rights to premises and civil and marine engineering facilities            |          | 608,108             | 323,573              |
| c) technical equipment and machinery                                                              |          | 204,103             | 145,299              |
| d) means of transport                                                                             |          | 39,731              | 29,104               |
| e) other fixed assets                                                                             |          | 116,461             | 98,147               |
| 2. Fixed assets under construction                                                                |          | 72,887              | 51,453               |
| <b>III. Non-current receivables</b>                                                               |          | -                   | -                    |
| <b>IV. Non-current investments</b>                                                                |          | <b>727,435</b>      | <b>728,943</b>       |
| 3. Long-term financial assets                                                                     |          | 727,435             | 728,943              |
| a) In related entities                                                                            | 8        | 727,435             | 728,943              |
| - ownership interests or shares                                                                   |          | 727,435             | 727,285              |
| - other securities                                                                                |          | -                   | 1,658                |
| <b>V. Non-current deferred revenue</b>                                                            |          | <b>23,744</b>       | <b>21,943</b>        |
| 1. Deferred tax assets                                                                            | 26       | 23,744              | 21,943               |
| 2. Other deferred revenue                                                                         |          | -                   | -                    |
| <b>B. Current assets</b>                                                                          |          | <b>948,885</b>      | <b>719,008</b>       |
| <b>I. Inventories</b>                                                                             |          | <b>428,621</b>      | <b>358,573</b>       |
| 4. Merchandise                                                                                    | 24       | 428,621             | 358,573              |
| <b>II. Current receivables</b>                                                                    |          | <b>79,762</b>       | <b>70,307</b>        |
| 1. Receivables from related entities                                                              | 40       | 10,825              | 7,985                |
| a) for goods and services with a term of payment:                                                 |          | 8,620               | 7,462                |
| - up to 12 months                                                                                 |          | 8,620               | 7,462                |
| b) other                                                                                          |          | 2,205               | 523                  |
| 2. Receivables from entities to which the company has equity exposure                             |          | -                   | -                    |
| 3. Receivables from other entities                                                                |          | 68,937              | 62,322               |
| a) for goods and services with a term of payment:                                                 |          | 13,101              | 30,662               |
| - up to 12 months                                                                                 |          | 13,101              | 30,662               |
| b) on taxes, subsidies, customs duties, social security and health insurance or other public dues |          | 51,470              | 26,566               |
| c) other                                                                                          |          | 4,366               | 5,094                |
| <b>III. Current investments</b>                                                                   |          | <b>438,086</b>      | <b>257,422</b>       |
| 1. Current financial assets                                                                       |          | 438,086             | 257,422              |
| a) In related entities                                                                            | 40       | 162,261             | 71,444               |
| - other securities                                                                                | 8.2      | 27,570              | 24,121               |
| - loans granted                                                                                   |          | 134,691             | 47,323               |
| b) in other entities                                                                              |          | -                   | -                    |
| c) cash and other cash assets                                                                     | 33       | 275,825             | 185,978              |
| - cash on hand and on accounts                                                                    |          | 79,726              | 67,070               |
| - other cash                                                                                      |          | 196,099             | 118,908              |
| <b>IV. Current deferred revenue</b>                                                               | <b>9</b> | <b>2,416</b>        | <b>32,706</b>        |
| <b>C. Contributions due to share capital</b>                                                      |          | -                   | -                    |
| <b>D. Treasury stock</b>                                                                          |          | -                   | -                    |
| <b>Total assets</b>                                                                               |          | <b>2,979,895</b>    | <b>2,266,223</b>     |

\* Restated comparative data related to the company's merger (Note 45).

The balance sheet should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.  
Financial statements for the year ended 31 December 2018  
Balance sheet

**Equity and liabilities**

| (in thousands of PLN)        |                                                                                        | Note | As at<br>31.12.2018 | As at<br>31.12.2017* |
|------------------------------|----------------------------------------------------------------------------------------|------|---------------------|----------------------|
| A.                           | Equity                                                                                 |      | 929,970             | 758,624              |
| I.                           | Share capital                                                                          | 10   | 9,804               | 9,804                |
| II.                          | Supplementary capital                                                                  |      | 681,260             | 621,345              |
| III.                         | Revaluation reserve (fund)                                                             |      | -                   | -                    |
| IV.                          | Other reserve capital (fund)                                                           |      | -                   | -                    |
| V.                           | Profit (loss) brought forward                                                          |      | -                   | (18,816)             |
| VI.                          | Net profit (loss)                                                                      |      | 208,558             | 139,158              |
| VII.                         | Other items of equity                                                                  |      | 31,783              | 7,133                |
| VIII.                        | Charges to net profit during the financial year (negative figure)                      |      | (1,435)             | -                    |
| B.                           | Liabilities and provisions for liabilities                                             |      | 2,049,925           | 1,507,599            |
| I.                           | Provisions for liabilities                                                             | 13   | 29,670              | 20,537               |
| 1.                           | Deferred tax liability                                                                 | 26   | 27,793              | 19,167               |
| 2.                           | Provision for pension and similar benefits                                             |      | 1,877               | 1,370                |
|                              | - non-current                                                                          |      | 1,362               | 1,048                |
|                              | - current                                                                              |      | 515                 | 322                  |
| II.                          | Non-current liabilities                                                                |      | 600,881             | 492,041              |
| 1.                           | To related entities                                                                    |      | -                   | -                    |
| 2.                           | To other entities in which the company has equity exposure                             |      | -                   | -                    |
| 3.                           | To other entities                                                                      | 11   | 600,881             | 492,041              |
|                              | a) loans and borrowings                                                                |      | 443,130             | 312,310              |
|                              | b) for issue of debt securities                                                        |      | 99,829              | 99,750               |
|                              | c) other financial liabilities                                                         |      | 57,922              | 79,981               |
| III.                         | Current liabilities                                                                    |      | 1,397,539           | 975,747              |
| 1.                           | Liabilities to related entities                                                        | 40   | 308,314             | 157,242              |
|                              | a) for goods and services with a term of being due and payable:                        |      | 170,087             | 101,196              |
|                              | - up to 12 months                                                                      |      | 170,087             | 101,196              |
|                              | b) other                                                                               |      | 138,227             | 56,046               |
| 2.                           | Liabilities to other entities in which the company has equity exposure                 |      | -                   | -                    |
| 3.                           | Liabilities to other entities                                                          |      | 1,089,225           | 818,505              |
|                              | a) loans and borrowings                                                                | 11   | 89,476              | 62,308               |
|                              | b) for issue of debt securities                                                        |      | 654                 | 654                  |
|                              | c) other financial liabilities                                                         | 11   | 40,321              | 40,384               |
|                              | d) for goods and services with a term of being due and payable:                        |      | 799,742             | 609,595              |
|                              | - up to 12 months                                                                      |      | 799,742             | 609,595              |
|                              | e) advances received for supplies and services                                         |      | -                   | -                    |
|                              | f) liabilities for bills of exchange                                                   |      | -                   | -                    |
|                              | g) on taxes, customs duties, social security and health insurance or other public dues |      | 91,940              | 56,821               |
|                              | h) payroll                                                                             |      | 40,394              | 31,065               |
|                              | i) other                                                                               |      | 26,698              | 17,678               |
| IV.                          | Deferred revenue                                                                       |      | 21,835              | 19,274               |
| 1.                           | Negative goodwill                                                                      |      | -                   | -                    |
| 2.                           | Other deferred revenue                                                                 | 17   | 21,835              | 19,274               |
|                              | - non-current                                                                          |      | 236                 | 439                  |
|                              | - current                                                                              |      | 21,599              | 18,835               |
| Total liabilities and equity |                                                                                        |      | 2,979,895           | 2,266,223            |

\* Restated comparative data related to the company's merger (Note 45).

The balance sheet should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.  
Financial statements for the year ended 31 December 2018  
Profit and loss account

**PROFIT AND LOSS ACCOUNT (COMPARABLE VERSION)**

(in thousands of PLN)

|                                                                   | Note      | 01.01.2018-<br>31.12.2018 | 01.01.2017-<br>31.12.2017* |
|-------------------------------------------------------------------|-----------|---------------------------|----------------------------|
| <b>A. Net revenues on sales and equivalents</b>                   | <b>21</b> | <b>5,832,221</b>          | <b>4,454,243</b>           |
| - from related entities                                           |           | 11,769                    | 5,080                      |
| I. Net revenue on sales of products and services                  |           | 19,638                    | 14,549                     |
| IV. Net revenue on sales of goods and materials                   |           | 5,812,583                 | 4,439,694                  |
| <b>B. Operating expenses</b>                                      |           | <b>5,524,871</b>          | <b>4,244,402</b>           |
| I. Depreciation and amortization                                  |           | 84,929                    | 62,144                     |
| II. Consumption of materials and energy                           |           | 84,337                    | 66,211                     |
| III. External services                                            |           | 320,542                   | 255,579                    |
| IV. Taxes and fees, including:                                    |           | 21,476                    | 15,801                     |
| V. Salaries                                                       |           | 485,310                   | 360,972                    |
| VI. Social security and other benefits, of which:                 |           | 106,480                   | 76,665                     |
| - pension                                                         |           | 46,728                    | 33,404                     |
| VII. Other costs by nature                                        |           | 26,009                    | 16,882                     |
| VIII. Cost of goods and materials sold                            |           | 4,395,788                 | 3,390,148                  |
| <b>C. Sales profit (loss) (A – B)</b>                             |           | <b>307,350</b>            | <b>209,841</b>             |
| <b>D. Other operating income</b>                                  | <b>27</b> | <b>4,652</b>              | <b>2,765</b>               |
| I. Profit on disposal of non-financial non-current assets         |           | -                         | -                          |
| II. Grants                                                        |           | 202                       | 371                        |
| III. Revaluation of non-financial assets                          |           | -                         | -                          |
| IV. Other operating income                                        |           | 4,450                     | 2,394                      |
| <b>E. Other operating expenses</b>                                | <b>28</b> | <b>2,378</b>              | <b>1,924</b>               |
| I. Loss on disposal of non-financial non-current assets           |           | 1,475                     | 1,193                      |
| II. Revaluation of non-financial assets                           |           | -                         | -                          |
| III. Other operating expenses                                     |           | 903                       | 731                        |
| <b>F. Operating profit (loss) (C+D-E)</b>                         |           | <b>309,624</b>            | <b>210,682</b>             |
| <b>G. Financial income</b>                                        | <b>29</b> | <b>5,234</b>              | <b>5,953</b>               |
| I. Dividends i profit sharing                                     |           | -                         | -                          |
| II. Interest, including:                                          |           | 5,197                     | 5,901                      |
| - from related entities                                           |           | 4,950                     | 5,499                      |
| III. Profit on disposal of financial assets                       |           | -                         | -                          |
| IV. Revaluation of financial assets                               |           | -                         | -                          |
| V. Other                                                          |           | 37                        | 52                         |
| <b>H. Financial expenses</b>                                      | <b>30</b> | <b>49,295</b>             | <b>43,190</b>              |
| I. Interest, including:                                           |           | 42,976                    | 36,667                     |
| - to related entities                                             |           | 136                       | 1,640                      |
| II. Loss on disposal of financial assets, including:              |           | -                         | -                          |
| III. Revaluation of financial assets                              |           | -                         | -                          |
| IV. Other                                                         |           | 6,319                     | 6,523                      |
| <b>I. Profit / (loss) before tax (F + G - H)</b>                  |           | <b>265,563</b>            | <b>173,445</b>             |
| <b>J. Income tax</b>                                              | <b>26</b> | <b>57,005</b>             | <b>34,287</b>              |
| <b>K. Other mandatory decreases of profit (increases of loss)</b> |           | <b>-</b>                  | <b>-</b>                   |
| <b>L. Net profit (loss) (I – J – K)</b>                           |           | <b>208,558</b>            | <b>139,158</b>             |

\* Restated comparative data related to the company's merger (Note 45) and correction of an error (Note 4)

The profit and loss account should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.  
Financial statements for the year ended 31 December 2018  
Statement of changes in equity

**STATEMENT OF CHANGES IN EQUITY**

(in thousands of PLN)

|                                                                                                                                                                     | Note      | 01.01.2018-<br>31.12.2018 | 01.01.2017-<br>31.12.2017* |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|---------------------------|----------------------------|
| <b>I. Equity at the beginning of the period (OB)</b>                                                                                                                |           | <b>658,158</b>            | <b>558,154</b>             |
| - effect of the merger with a subsidiary                                                                                                                            |           | 100,466                   | 53,996                     |
| <b>I.a. Equity at the beginning of the period (OB), adjusted</b>                                                                                                    |           | <b>758,624</b>            | <b>612,150</b>             |
| 1. Share capital at the beginning of the period                                                                                                                     |           | 9,804                     | 9,804                      |
| 1.1. Movement in share capital                                                                                                                                      |           | -                         | -                          |
| <b>1.2. Share capital at the end of the period</b>                                                                                                                  | <b>10</b> | <b>9,804</b>              | <b>9,804</b>               |
| 2. Supplementary capital at the beginning of the period                                                                                                             |           | 621,345                   | 268,902                    |
| 2.1. Changes to supplementary capital                                                                                                                               |           | 59,915                    | 352,443                    |
| (i) increase                                                                                                                                                        |           | 120,704                   | 352,443                    |
| - profit distribution                                                                                                                                               | 12.1      | 92,504                    | 279,448                    |
| - effect of the merger with a subsidiary - insertion of the subsidiary's supplementary capital                                                                      |           | -                         | 72,995                     |
| - effect of the merger with a subsidiary - subsidiary's transfer of profit to supplementary capital                                                                 |           | 28,200                    | -                          |
| b) decrease                                                                                                                                                         |           | (60,789)                  | -                          |
| - effect of the merger with a subsidiary - subsidiary's payout of an interim dividend from retained earnings and supplementary capital executed prior to the merger |           | (41,973)                  | -                          |
| - effect of the merger with a subsidiary - coverage of retained losses in a subsidiary                                                                              |           | (18,816)                  | -                          |
| <b>2.2. Balance of supplementary capital at the end of the period</b>                                                                                               |           | <b>681,260</b>            | <b>621,345</b>             |
| 3. Revaluation reserve at the beginning of the period                                                                                                               |           | -                         | -                          |
| 3.1. Changes in the revaluation reserve                                                                                                                             |           | -                         | -                          |
| 3.2. Revaluation reserve at the end of the period                                                                                                                   |           | -                         | -                          |
| 4. Other reserve capital at the beginning of the period                                                                                                             |           | -                         | -                          |
| 4.1. Change in other reserve capital                                                                                                                                |           | -                         | -                          |
| <b>4.2. Other reserve capital at the end of the period</b>                                                                                                          |           | <b>-</b>                  | <b>-</b>                   |
| 5. Profit (loss) brought forward at the beginning of the period                                                                                                     |           | 120,342                   | 279,448                    |
| 5.1. Profit brought forward at the beginning of the period                                                                                                          |           | 139,158                   | 279,448                    |
| 5.2. Profit brought forward at the beginning of the period, adjusted                                                                                                |           | 139,158                   | 279,448                    |
| (i) increase                                                                                                                                                        |           | -                         | -                          |
| b) decrease                                                                                                                                                         |           | (139,158)                 | (298,264)                  |
| - distribution of Dino Polska's profit                                                                                                                              | 12.1      | (92,504)                  | (279,448)                  |
| - effect of the merger with a subsidiary - subsidiary's transfer of profit to supplementary capital                                                                 |           | (28,200)                  | -                          |
| - effect of the merger with a subsidiary - subsidiary's retained losses                                                                                             |           | (18,454)                  | (18,816)                   |
| 5.3. Profit brought forward at the end of the period                                                                                                                |           | -                         | -                          |
| 5.4. Loss brought forward at the beginning of the period                                                                                                            |           | (18,816)                  | -                          |
| 5.5. Loss brought forward at the beginning of the period, adjusted                                                                                                  |           | (18,816)                  | -                          |
| (i) increase                                                                                                                                                        |           | -                         | -                          |
| b) decrease                                                                                                                                                         |           | 18,816                    | -                          |
| - effect of the merger with a subsidiary - coverage of retained losses in a subsidiary                                                                              |           | 18,816                    | -                          |
| 5.6. Losses brought forward at the end of the period                                                                                                                |           | -                         | (18,816)                   |
| <b>5.7. Profit (loss) brought forward at the end of the period</b>                                                                                                  |           | <b>-</b>                  | <b>(18,816)</b>            |
| <b>6. Net result</b>                                                                                                                                                |           | <b>208,558</b>            | <b>139,158</b>             |
| a) net profit                                                                                                                                                       |           | 208,558                   | 139,158                    |
| b) net loss                                                                                                                                                         |           | -                         | -                          |
| c) charges to profit                                                                                                                                                |           | -                         | -                          |
| <b>7. Other items of equity at the beginning of the period</b>                                                                                                      |           | <b>7,133</b>              | <b>7,500</b>               |
| 7.1 Change in other items of equity                                                                                                                                 |           | 24,650                    | (367)                      |
| (i) increase                                                                                                                                                        |           | 24,650                    | (367)                      |
| - effect of settlement of the merger with a subsidiary                                                                                                              |           | 24,650                    | (367)                      |
| <b>7. Other items of equity at the end of the period</b>                                                                                                            |           | <b>31,783</b>             | <b>7,133</b>               |
| <b>8. Charges to net profit during the financial year (negative figure)</b>                                                                                         |           | <b>(1,435)</b>            | <b>-</b>                   |
| <b>II. Equity at the end of the period (CB)</b>                                                                                                                     |           | <b>929,970</b>            | <b>758,624</b>             |
| <b>III. Equity after considering the proposed distribution of profits (coverage of losses)</b>                                                                      |           | <b>929,970</b>            | <b>758,624</b>             |

\* Restated comparative data related to the company's merger (Note 45)

The statement of changes in equity should be analyzed together with the notes and explanations, which constitute an integral part of the financial statements

DINO POLSKA S.A.  
Financial statements for the year ended 31 December 2018  
Statement of cash flows

**STATEMENT OF CASH FLOWS (INDIRECT METHOD)**

(in thousands of PLN)

|                                                                                                               | Note | 01.01.2018-<br>31.12.2018 | 01.01.2017-<br>31.12.2017* |
|---------------------------------------------------------------------------------------------------------------|------|---------------------------|----------------------------|
| <b>A. Cash flow from operating activities</b>                                                                 |      |                           |                            |
| <b>I. Net profit (loss)</b>                                                                                   |      | <b>208,558</b>            | <b>139,158</b>             |
| <b>II. Total adjustments</b>                                                                                  |      | <b>402,624</b>            | <b>301,435</b>             |
| 1. Depreciation and amortization                                                                              |      | 84,929                    | 62,144                     |
| 2. Gains (losses) arising from changes in foreign currency exchange rates                                     |      | -                         | -                          |
| 3. Interest and profit sharing (dividends)                                                                    | 34   | 39,290                    | 37,564                     |
| 4. Profit (loss) on investing activity                                                                        |      | 1,475                     | 1,193                      |
| 5. Movement in provisions                                                                                     |      | 9,133                     | 4,379                      |
| 6. Movement in inventories                                                                                    |      | (70,048)                  | (87,775)                   |
| 7. Movement in receivables                                                                                    | 34   | (7,802)                   | (15,002)                   |
| 8. Movement in current liabilities, except for loans and borrowings                                           | 34   | 314,597                   | 247,249                    |
| 9. Movement in prepayments, accruals and deferred revenue                                                     |      | 31,050                    | 44,183                     |
| 10. Other adjustments                                                                                         |      | -                         | 7,500                      |
| <b>III. Net cash from operating activities (I±II)</b>                                                         |      | <b>611,182</b>            | <b>440,593</b>             |
| <b>B. Cash flow from investing activities</b>                                                                 |      |                           |                            |
| <b>I. Inflows</b>                                                                                             |      | <b>11,245</b>             | <b>20,227</b>              |
| 1. Sale of intangible assets and property, plant and equipment                                                |      | 634                       | 7,360                      |
| 2. Sale of investments in real property and intangible assets                                                 |      | -                         | -                          |
| 3. From financial assets, of which:                                                                           |      | 10,611                    | 12,867                     |
| a) in related entities                                                                                        |      | 10,364                    | 12,465                     |
| b) in other entities                                                                                          |      | 247                       | 402                        |
| - interest                                                                                                    |      | 247                       | 402                        |
| <b>II. Outflows</b>                                                                                           |      | <b>(598,212)</b>          | <b>(359,858)</b>           |
| 1. Purchase of intangible assets and property, plant and equipment                                            |      | (500,280)                 | (337,472)                  |
| 2. Investments in real property and intangible assets                                                         |      | -                         | -                          |
| 3. Towards financial assets, of which:                                                                        |      | (97,932)                  | (22,386)                   |
| a) in related entities                                                                                        |      | (97,932)                  | (22,386)                   |
| <b>III. Net cash flow from investing activities (I-II)</b>                                                    |      | <b>(586,967)</b>          | <b>(339,631)</b>           |
| <b>C. Cash flow from financing activities</b>                                                                 |      |                           |                            |
| <b>I. Inflows</b>                                                                                             |      | <b>345,364</b>            | <b>201,203</b>             |
| 1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions |      | -                         | -                          |
| 2. Loans and borrowings                                                                                       |      | 345,364                   | 101,203                    |
| 3. Issue of debt securities                                                                                   |      | -                         | 100,000                    |
| 4. Other financial proceeds                                                                                   |      | -                         | -                          |
| <b>II. Outflows</b>                                                                                           |      | <b>(279,732)</b>          | <b>(172,695)</b>           |
| 1. Purchase of treasury shares                                                                                |      | -                         | -                          |
| 2. Dividends and other distributions to owners                                                                |      | (5,662)                   | -                          |
| 3. Profit-sharing expenditures other than distributions to owners                                             |      | -                         | -                          |
| 4. Repayment of loans and borrowings                                                                          |      | (187,376)                 | (81,940)                   |
| 5. Redemption of debt securities                                                                              |      | -                         | -                          |
| 6. On account of other financial liabilities                                                                  |      | -                         | -                          |
| 7. Payment of finance lease liabilities                                                                       |      | (40,618)                  | (48,220)                   |
| 8. Interest                                                                                                   |      | (40,054)                  | (36,414)                   |
| 9. Other financial expenditures                                                                               |      | (6,022)                   | (6,121)                    |
| <b>III. Net cash from financing activities (I-II)</b>                                                         |      | <b>65,632</b>             | <b>28,508</b>              |
| <b>D. Total net cash flow (A.III±B.III±C.III)</b>                                                             |      | <b>89,847</b>             | <b>129,470</b>             |
| <b>E. Balance sheet movement in cash, including</b>                                                           |      | <b>89,847</b>             | <b>129,470</b>             |
| - movement in cash arising from changes in foreign currency exchange rates                                    |      | -                         | -                          |
| <b>F. Cash at the beginning of the period</b>                                                                 |      | <b>185,978</b>            | <b>56,508</b>              |
| <b>G. Cash at the end of the period (F±D), including</b>                                                      | 33   | <b>275,825</b>            | <b>185,978</b>             |
| - restricted cash                                                                                             |      | 60                        | -                          |

\* Restated comparative data related to the company's merger (Note 45)

The statement of cash flows should be analyzed together with notes and explanations, which constitute an integral part of the financial statements



## NOTES AND EXPLANATIONS

### 1. INFORMATION ABOUT SIGNIFICANT EVENTS CONCERNING THE PREVIOUS YEARS CAPTURED IN THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR

Up to the date of preparing the financial statements for the financial year, i.e. until 14 March 2019, no significant events occurred during previous years that should be captured in the financial year's financial statements.

### 2. INFORMATION ABOUT SIGNIFICANT EVENTS THAT OCCURRED AFTER THE BALANCE SHEET DATE AND THAT HAVE NOT BEEN CAPTURED IN THE FINANCIAL STATEMENTS

After the balance sheet date and up to the date of drawing up the financial statements for the financial year, i.e. until 14 March 2019, no significant events other than described in Note 47 occurred that were not captured in the financial year's financial statements.

### 3. CHANGES IN THE ACCOUNTING PRINCIPLES (POLICIES) IN THE FINANCIAL YEAR

Financial statements for the current and previous financial year have been made using the same accounting principles (policies) and data presentation methods in the financial statements.

### 4. CORRECTION OF ERRORS

An error was corrected in the current financial year with respect to the recognition of revenues and costs of transactions pertaining to press and mobile phone top ups in which, according to its revised judgment the Company acts as an intermediary (agent) while in the previous year the assumption had been erroneously made that the Company is the principal in these transactions. Accordingly, the Company should recognize in its revenue from sales only the sales commission forming the difference between the sales price and the cost of purchasing the merchandise in whose trading the Company acts as an intermediary. In connection with this, the comparative data were reduced by the amount of the revenues and costs as stated in the table below:

|                                                  | <i>Approved data</i>              |                              | <i>Restated data</i>              |
|--------------------------------------------------|-----------------------------------|------------------------------|-----------------------------------|
|                                                  | <i>01.01.2017-<br/>31.12.2017</i> | <i>Adjustment<br/>amount</i> | <i>01.01.2017-<br/>31.12.2017</i> |
| IV. Net revenues on sales of goods and materials | 4,492,792                         | (53,098)                     | 4,439,694                         |
| VIII. Cost of goods and materials sold           | 3,443,246                         | (53,098)                     | 3,390,148                         |

### 5. COMPARABILITY OF THE FINANCIAL DATA FOR THE PREVIOUS YEAR AND THE DATA FROM THE FINANCIAL STATEMENTS FOR THE CURRENT FINANCIAL YEAR

#### Other changes and/or adjustments

Other than the change mentioned in item 4, to ensure the comparability of data, comparative data for the previous financial year were calculated as if the merger of Dino Polska S.A. and Pol-Food Polska sp. o.o. had taken at the beginning of the previous financial year. The details related to the merger are presented in Note 45. To ensure data comparability the various notes regarding this subject have also been restated.

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**6. INTANGIBLE ASSETS**

**Year ended 31 December 2018**

| <i>(in thousands of PLN)</i> | <i>Costs of completed development work</i> | <i>Goodwill</i> | <i>Other intangible assets</i> | <i>Advance payments towards intangible assets</i> | <i>Total</i>  |
|------------------------------|--------------------------------------------|-----------------|--------------------------------|---------------------------------------------------|---------------|
| <b><u>Initial value</u></b>  |                                            |                 |                                |                                                   |               |
| <b>Opening balance</b>       | -                                          | -               | <b>38,398</b>                  | -                                                 | <b>38,398</b> |
| Increases, including:        | -                                          | -               | 3,720                          | -                                                 | 3,720         |
| Purchase                     | -                                          | -               | 3,720                          | -                                                 | 3,720         |
| Decreases                    | -                                          | -               | -                              | -                                                 | -             |
| <b>Closing balance</b>       | -                                          | -               | <b>42,118</b>                  | -                                                 | <b>42,118</b> |
| <b><u>Depreciation</u></b>   |                                            |                 |                                |                                                   |               |
| <b>Opening balance</b>       | -                                          | -               | <b>15,912</b>                  | -                                                 | <b>15,912</b> |
| Increases, including:        | -                                          | -               | 3,338                          | -                                                 | 3,338         |
| Depreciation in the period   | -                                          | -               | 3,338                          | -                                                 | 3,338         |
| Decreases                    | -                                          | -               | -                              | -                                                 | -             |
| <b>Closing balance</b>       | -                                          | -               | <b>19,250</b>                  | -                                                 | <b>19,250</b> |
| <b><u>Net value</u></b>      |                                            |                 |                                |                                                   |               |
| <b>Opening balance</b>       | -                                          | -               | <b>22,486</b>                  | -                                                 | <b>22,486</b> |
| <b>Closing balance</b>       | -                                          | -               | <b>22,868</b>                  | -                                                 | <b>22,868</b> |

**Year ended 31 December 2017 (restated data)**

| <i>(in thousands of PLN)</i> | <i>Costs of completed development work</i> | <i>Goodwill</i> | <i>Other intangible assets</i> | <i>Advance payments towards intangible assets</i> | <i>Total</i>  |
|------------------------------|--------------------------------------------|-----------------|--------------------------------|---------------------------------------------------|---------------|
| <b><u>Initial value</u></b>  |                                            |                 |                                |                                                   |               |
| <b>Opening balance</b>       | -                                          | -               | <b>36,355</b>                  | -                                                 | <b>36,355</b> |
| Increases, including:        | -                                          | -               | 2,043                          | -                                                 | 2,043         |
| Purchase                     | -                                          | -               | 2,043                          | -                                                 | 2,043         |
| Decreases                    | -                                          | -               | -                              | -                                                 | -             |
| <b>Closing balance</b>       | -                                          | -               | <b>38,398</b>                  | -                                                 | <b>38,398</b> |
| <b><u>Depreciation</u></b>   |                                            |                 |                                |                                                   |               |
| <b>Opening balance</b>       | -                                          | -               | <b>12,750</b>                  | -                                                 | <b>12,750</b> |
| Increases, including:        | -                                          | -               | 3,162                          | -                                                 | 3,162         |
| Depreciation in the period   | -                                          | -               | 3,162                          | -                                                 | 3,162         |
| Decreases                    | -                                          | -               | -                              | -                                                 | -             |
| <b>Closing balance</b>       | -                                          | -               | <b>15,912</b>                  | -                                                 | <b>15,912</b> |
| <b><u>Net value</u></b>      |                                            |                 |                                |                                                   |               |
| <b>Opening balance</b>       | -                                          | -               | <b>22,641</b>                  | -                                                 | <b>22,641</b> |
| <b>Closing balance</b>       | -                                          | -               | <b>22,486</b>                  | -                                                 | <b>22,486</b> |

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**7. PROPERTY, PLANT AND EQUIPMENT**

**Year ended 31 December 2018**

|                                                                         | <i>Land and<br/>buildings</i> | <i>Machinery and<br/>equipment</i> | <i>Means of<br/>transport</i> | <i>Other fixed<br/>assets</i> | <i>Fixed assets<br/>under<br/>construction</i> | <i>Total</i>     |
|-------------------------------------------------------------------------|-------------------------------|------------------------------------|-------------------------------|-------------------------------|------------------------------------------------|------------------|
| <b>Gross value as at 1 January</b>                                      | <b>462,495</b>                | <b>221,550</b>                     | <b>40,523</b>                 | <b>175,577</b>                | <b>51,453</b>                                  | <b>951,598</b>   |
| Purchases                                                               | -                             | -                                  | -                             | -                             | 566,821                                        | 566,821          |
| Sales                                                                   | -                             | (890)                              | (17)                          | (13)                          | -                                              | (920)            |
| Liquidation                                                             | (531)                         | (1,212)                            | (568)                         | (6,095)                       | (927)                                          | (9,333)          |
| Transfer from fixed assets under construction                           | 387,079                       | 90,574                             | 18,770                        | 48,037                        | (544,460)                                      | -                |
| <b>Gross value as at 31 December</b>                                    | <b>849,043</b>                | <b>310,022</b>                     | <b>58,708</b>                 | <b>217,506</b>                | <b>72,887</b>                                  | <b>1,508,166</b> |
| <b>Accumulated depreciation and impairment losses as at 1 January</b>   | <b>12,655</b>                 | <b>76,251</b>                      | <b>11,419</b>                 | <b>77,430</b>                 | -                                              | <b>177,755</b>   |
| Depreciation charge for the period                                      | 12,661                        | 31,010                             | 8,105                         | 29,815                        | -                                              | 81,591           |
| Sales                                                                   | -                             | (529)                              | (6)                           | (9)                           | -                                              | (544)            |
| Liquidation                                                             | (54)                          | (813)                              | (541)                         | (6,191)                       | -                                              | (7,599)          |
| <b>Accumulated depreciation and impairment losses as at 31 December</b> | <b>25,262</b>                 | <b>105,919</b>                     | <b>18,977</b>                 | <b>101,045</b>                | -                                              | <b>251,203</b>   |
| <b>Net value as at 1 January</b>                                        | <b>449,840</b>                | <b>145,299</b>                     | <b>29,104</b>                 | <b>98,147</b>                 | <b>51,453</b>                                  | <b>773,843</b>   |
| <b>Gross value as at 31 December</b>                                    | <b>823,781</b>                | <b>204,103</b>                     | <b>39,731</b>                 | <b>116,461</b>                | <b>72,887</b>                                  | <b>1,256,963</b> |

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**Year ended 31 December 2017 (restated data)**

|                                                                         | <i>Land and<br/>buildings</i> | <i>Machinery and<br/>equipment</i> | <i>Means of<br/>transport</i> | <i>Other fixed<br/>assets</i> | <i>Fixed assets<br/>under<br/>construction</i> | <i>Total</i>   |
|-------------------------------------------------------------------------|-------------------------------|------------------------------------|-------------------------------|-------------------------------|------------------------------------------------|----------------|
| <b>Gross value as at 1 January</b>                                      | <b>208,414</b>                | <b>166,957</b>                     | <b>23,747</b>                 | <b>147,866</b>                | <b>33,634</b>                                  | <b>580,618</b> |
| Purchases                                                               | -                             | -                                  | -                             | -                             | 387,414                                        | 387,414        |
| Sales                                                                   | (4,063)                       | (1,343)                            | (64)                          | (1,122)                       | (2,721)                                        | (9,313)        |
| Liquidation*                                                            | (277)                         | 150                                | (699)                         | (5,297)                       | (998)                                          | (7,121)        |
| Transfer from fixed assets under construction                           | 258,421                       | 55,786                             | 17,539                        | 34,130                        | (365,876)                                      | -              |
| <b>Gross value as at 31 December</b>                                    | <b>462,495</b>                | <b>221,550</b>                     | <b>40,523</b>                 | <b>175,577</b>                | <b>51,453</b>                                  | <b>951,598</b> |
| <b>Accumulated depreciation and impairment losses as at 1 January</b>   | <b>6,027</b>                  | <b>52,892</b>                      | <b>6,404</b>                  | <b>58,616</b>                 | -                                              | <b>123,939</b> |
| Depreciation charge for the period                                      | 6,636                         | 23,278                             | 5,704                         | 23,364                        | -                                              | 58,982         |
| Sales                                                                   | (6)                           | (2)                                | (54)                          | (43)                          | -                                              | (105)          |
| Liquidation*                                                            | (2)                           | 83                                 | (635)                         | (4,507)                       | -                                              | (5,061)        |
| <b>Accumulated depreciation and impairment losses as at 31 December</b> | <b>12,655</b>                 | <b>76,251</b>                      | <b>11,419</b>                 | <b>77,430</b>                 | -                                              | <b>177,755</b> |
| <b>Net value as at 1 January</b>                                        | <b>202,387</b>                | <b>114,065</b>                     | <b>17,343</b>                 | <b>89,250</b>                 | <b>33,634</b>                                  | <b>456,679</b> |
| <b>Net value as at 31 December</b>                                      | <b>449,840</b>                | <b>145,299</b>                     | <b>29,104</b>                 | <b>98,147</b>                 | <b>51,453</b>                                  | <b>773,843</b> |

\* The line item entitled liquidation of machinery and equipment includes the reclassification between groups of current fixed assets.

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As at 31 December 2018, the value of land in perpetual usufruct was PLN 17,701 thousand (as at 31 December 2017, the corresponding value was PLN 12,855 thousand).

As at 31 December 2018, fixed assets with the net value of PLN 149,100 thousand were used on the basis of financial lease agreements (PLN 176,760 thousand as at 31 December 2017).

As at 31 December 2018, based on operational leasing, rental, lease and other agreements (except for financial lease agreements), the Company used fixed assets with the value of approx. PLN 840,576 thousand (PLN 797,336 thousand as at 31 December 2017).

Capital expenditures carried out in the current financial year were PLN 566,821 thousand (PLN 387,414 thousand in 2017). In 2018 and 2017, there were no expenditures related to environmental protection. The capital expenditures planned for 2019 are PLN 650-700 million.

As at 31 December 2018 and 31 December 2017, the Company did not have any liabilities towards the state budget or local government units by virtue of obtaining the ownership right to buildings and structures or cost of service (including exchange gains and losses) of liabilities incurred to finance fixed assets under construction captured in the manufacturing cost (purchase price).

## 8. INVESTMENTS

### 8.1. Non-current investments

#### Year ended 31 December 2018

| <i>(in thousands of PLN)</i>                   | <i>Real estate</i> | <i>Intangible assets</i> | <i>Long-term financial assets in related entities</i> | <i>Long-term financial assets in other entities in which the entity has capital exposure</i> | <i>Total</i>   |
|------------------------------------------------|--------------------|--------------------------|-------------------------------------------------------|----------------------------------------------------------------------------------------------|----------------|
| <b>Opening balance, including:</b>             | -                  | -                        | <b>728,943</b>                                        | -                                                                                            | <b>728,943</b> |
| Gross value                                    | -                  | -                        | 728,943                                               | -                                                                                            | 728,943        |
| Increases, including:                          | -                  | -                        | 31,750                                                | -                                                                                            | 31,750         |
| Purchase                                       | -                  | -                        | 31,750                                                | -                                                                                            | 31,750         |
| Decreases, including:                          | -                  | -                        | (33,258)                                              | -                                                                                            | (33,258)       |
| Other (merger with Pol-Food Polska sp. z o.o.) | -                  | -                        | (33,258)                                              | -                                                                                            | (33,258)       |
| <b>Closing balance, including:</b>             | -                  | -                        | <b>727,435</b>                                        | -                                                                                            | <b>727,435</b> |
| Gross value                                    | -                  | -                        | 727,435                                               | -                                                                                            | 727,435        |

#### Year ended 31 December 2017 (restated data)

| <i>(in thousands of PLN)</i>       | <i>Real estate</i> | <i>Intangible assets</i> | <i>Long-term financial assets in related entities</i> | <i>Long-term financial assets in other entities in which the entity has capital exposure</i> | <i>Total</i>   |
|------------------------------------|--------------------|--------------------------|-------------------------------------------------------|----------------------------------------------------------------------------------------------|----------------|
| <b>Opening balance, including:</b> | -                  | -                        | <b>727,151</b>                                        | -                                                                                            | <b>727,151</b> |
| Gross value                        | -                  | -                        | 727,151                                               | -                                                                                            | 727,151        |
| Increases, including:              | -                  | -                        | 11,658                                                | -                                                                                            | 11,658         |
| Purchase                           | -                  | -                        | 10,000                                                | -                                                                                            | 10,000         |
| Other                              | -                  | -                        | 1,658                                                 | -                                                                                            | 1,658          |
| Decreases, including:              | -                  | -                        | (9,866)                                               | -                                                                                            | (9,866)        |
| Other                              | -                  | -                        | (9,866)                                               | -                                                                                            | (9,866)        |
| <b>Closing balance, including:</b> | -                  | -                        | <b>728,943</b>                                        | -                                                                                            | <b>728,943</b> |
| Gross value                        | -                  | -                        | 728,943                                               | -                                                                                            | 728,943        |

In 2018, movement in the line item "Long-term financial assets in related entities" was related to the merger of the Company with a subsidiary. On 26 October 2018, the Company acquired from its subsidiaries: Agro-Rydzyna sp. z o.o. and Centrum Wynajmu Nieruchomości sp. z o.o. the 0.1% and 10% stakes held by them in Pol-Food Polska sp. z o.o., respectively, for PLN 31,550 thousand, thus becoming the sole shareholder of Pol-Food Polska sp. z o.o. In compliance with Article 44 of the Accounting Act, the shares in Pol-Food Polska sp. z o.o. were eliminated.

In 2017, Dino Polska S.A. acquired an additional stake in its subsidiary Dino Południe sp. z o.o.

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## 8.2. Current investments

Current investments, net of cash and other cash assets involve the following:

### Year ended 31 December 2018

| <i>(in thousands of PLN)</i>       | <i>Ownership interests<br/>and shares</i> | <i>Other securities</i> | <i>Loans granted</i> | <i>Total</i>   |
|------------------------------------|-------------------------------------------|-------------------------|----------------------|----------------|
| <b>Opening balance, including:</b> | -                                         | <b>24,121</b>           | <b>47,323</b>        | <b>71,444</b>  |
| Gross value                        | -                                         | 24,121                  | 47,323               | 71,444         |
| Increases, including:              | -                                         | 3,449                   | 101,723              | 105,172        |
| Purchase                           | -                                         | 3,449                   | 101,723              | 105,172        |
| Decreases, including:              | -                                         | -                       | (14,355)             | (14,355)       |
| Repayments                         | -                                         | -                       | (14,355)             | (14,355)       |
| <b>Closing balance, including:</b> | -                                         | <b>27,570</b>           | <b>134,691</b>       | <b>162,261</b> |
| Gross value                        | -                                         | 27,570                  | 134,691              | 162,261        |

### Year ended 31 December 2017

| <i>(in thousands of PLN)</i>       | <i>Ownership interests<br/>and shares</i> | <i>Other securities</i> | <i>Loans granted</i> | <i>Total</i>  |
|------------------------------------|-------------------------------------------|-------------------------|----------------------|---------------|
| <b>Opening balance, including:</b> | -                                         | <b>22,179</b>           | <b>45,503</b>        | <b>67,682</b> |
| Gross value                        | -                                         | 22,179                  | 45,503               | 67,682        |
| Increases, including:              | -                                         | 3,661                   | 12,447               | 16,108        |
| Purchase                           | -                                         | 3,661                   | 12,447               | 16,108        |
| Decreases, including:              | -                                         | (1,719)                 | (10,627)             | (12,346)      |
| Other                              | -                                         | (1,719)                 | (10,627)             | (12,346)      |
| <b>Closing balance, including:</b> | -                                         | <b>24,121</b>           | <b>47,323</b>        | <b>71,444</b> |
| Gross value                        | -                                         | 24,121                  | 47,323               | 71,444        |

## 9. ACCRUALS AND PREPAYMENTS

| <i>(in thousands of PLN)</i>   | <i>31.12.2018</i> | <i>31.12.2017*</i> |
|--------------------------------|-------------------|--------------------|
| Deferred tax assets            | 23,744            | 21,943             |
| Other, including:              | -                 | -                  |
| - costs of rental-related fees | -                 | -                  |
| <b>Total non-current</b>       | <b>23,744</b>     | <b>21,943</b>      |
| Costs of rental-related fees   | 36                | 31,258             |
| Insurance costs                | 1,933             | 1,027              |
| Other                          | 447               | 421                |
| <b>Total current</b>           | <b>2,416</b>      | <b>32,706</b>      |

\*Restated data

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## 10. CAPITAL

As at 31 December 2018 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at 31 December 2017 the Company's share capital was PLN 9,804 thousand and was divided into 98,040,000 shares with a nominal value of PLN 0.10 each.

As at the balance sheet date, the ownership structure of the Company's share capital was as follows:

### 31 December 2018

| <i>Shareholder</i>                 | <i>Number of shares</i> | <i>Percentage of share capital</i> | <i>Percentage of votes at the Shareholder Meeting</i> |
|------------------------------------|-------------------------|------------------------------------|-------------------------------------------------------|
| Tomasz Biernacki with a subsidiary | 50,103,000              | 51.1%                              | 51.1%                                                 |
| Other shareholders                 | 47,937,000              | 48.9%                              | 48.9%                                                 |
| <b>Total</b>                       | <b>98,040,000</b>       | <b>100.0%</b>                      | <b>100.0%</b>                                         |

### 31 December 2017

| <i>Shareholder</i>                 | <i>Number of shares</i> | <i>Percentage of share capital</i> | <i>Percentage of votes at the Shareholder Meeting</i> |
|------------------------------------|-------------------------|------------------------------------|-------------------------------------------------------|
| Tomasz Biernacki with a subsidiary | 50,103,000              | 51.1%                              | 51.1%                                                 |
| Other shareholders                 | 47,937,000              | 48.9%                              | 48.9%                                                 |
| <b>Total</b>                       | <b>98,040,000</b>       | <b>100.0%</b>                      | <b>100.0%</b>                                         |

## 11. INTEREST-BEARING BANK CREDIT AND LOANS AND OTHER FINANCIAL LIABILITIES

The table below presents financial liabilities to unrelated entities. Transactions involving obtained loans and other payables to related entities are presented in Note 40.

*(in thousands of PLN)*

|                                                                           | <i>31.12.2018</i> | <i>31.12.2017</i> |
|---------------------------------------------------------------------------|-------------------|-------------------|
| <i>Current</i>                                                            |                   |                   |
| Liabilities under financial lease agreements and hire-purchase agreements | 40,321            | 40,384            |
| Investment loans                                                          | 79,591            | 55,017            |
| Loans to finance current activity                                         | 9,455             | 6,867             |
| Borrowing                                                                 | 430               | 424               |
| Bonds                                                                     | 654               | 654               |
| <b>Total current</b>                                                      | <b>130,451</b>    | <b>103,346</b>    |
| <i>Non-current</i>                                                        |                   |                   |
| Liabilities under financial lease agreements and hire-purchase agreements | 57,922            | 79,981            |
| Investment loans                                                          | 419,940           | 287,251           |
| Loans to finance current activity                                         | 22,569            | 24,008            |
| Borrowing                                                                 | 621               | 1,051             |
| Bonds                                                                     | 99,829            | 99,750            |
| <b>Total non-current</b>                                                  | <b>600,881</b>    | <b>492,041</b>    |

## 12. PROFIT DISTRIBUTION

### 12.1. Profit distribution for the previous year

The Ordinary Shareholder Meeting held on 21 May 2018 adopted a resolution to allocate the profit for the previous year to supplementary capital. The Ordinary Shareholder Meeting of Pol-Food Polska sp. z o.o (merged company) held on 28 June 2018 adopted a resolution to allocate the profit for the previous year to supplementary capital.

### 12.2. Profit distribution

The financial statements were prepared prior to the adoption of the resolution to distribute profit for the current year. The Company's Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

## 13. PROVISIONS

The following movements in provisions transpired in the reporting periods covered by the financial statements:

### Year ended 31 December 2018

| <i>(in thousands of PLN)</i>              | <i>Deferred tax liability</i> | <i>Provision for pension and similar benefits</i> | <i>Benefits under the incentive program</i> | <i>Total</i>  |
|-------------------------------------------|-------------------------------|---------------------------------------------------|---------------------------------------------|---------------|
| <b>As at 1 January 2018</b>               | <b>19,167</b>                 | <b>1,370</b>                                      | -                                           | <b>20,537</b> |
| Increases                                 | 8,626                         | 507                                               | -                                           | <b>9,133</b>  |
| Reversal                                  | -                             | -                                                 | -                                           | -             |
| <b>As at 31 December 2018, including:</b> | <b>27,793</b>                 | <b>1,877</b>                                      | -                                           | <b>29,670</b> |
| Non-current                               | 27,793                        | 1,362                                             | -                                           | <b>29,155</b> |
| Current                                   | -                             | 515                                               | -                                           | <b>515</b>    |

### Year ended 31 December 2017 (restated data)

| <i>(in thousands of PLN)</i>              | <i>Deferred tax liability</i> | <i>Provision for pension and similar benefits</i> | <i>Benefits under the incentive program*</i> | <i>Total</i>   |
|-------------------------------------------|-------------------------------|---------------------------------------------------|----------------------------------------------|----------------|
| <b>As at 1 January 2017</b>               | <b>12,426</b>                 | <b>1,231</b>                                      | <b>5,666</b>                                 | <b>19,323</b>  |
| Increases                                 | 6,741                         | 139                                               | -                                            | <b>6,880</b>   |
| Utilization                               | -                             | -                                                 | (5,666)                                      | <b>(5,666)</b> |
| <b>As at 31 December 2017, including:</b> | <b>19,167</b>                 | <b>1,370</b>                                      | -                                            | <b>20,537</b>  |
| Non-current                               | 19,167                        | 1,048                                             | -                                            | <b>20,215</b>  |
| Current                                   | -                             | 322                                               | -                                            | <b>322</b>     |

\* The detailed provisions of the incentive programs have been presented in the Company's prospectus, as approved by KNF on 17 March 2017, and in the Company's financial statements for 2016.



#### 14. IMPAIRMENT LOSSES FOR RECEIVABLES

##### Year ended 31 December 2018

| <i>(in thousands of PLN)</i>        | <i>Impairment losses for non-current receivables</i> | <i>Impairment losses for current receivables</i> |
|-------------------------------------|------------------------------------------------------|--------------------------------------------------|
| <b>As at 1 January 2018</b>         | -                                                    | <b>407</b>                                       |
| Increases                           | -                                                    | 62                                               |
| - on account of cash shortages      | -                                                    | -                                                |
| - impairment losses for settlements | -                                                    | 62                                               |
| Utilization                         | -                                                    | (210)                                            |
| - on account of cash shortages      | -                                                    | -                                                |
| - impairment losses for settlements | -                                                    | (210)                                            |
| Reversal                            | -                                                    | (35)                                             |
| - impairment losses for settlements | -                                                    | (35)                                             |
| <b>As at 31 December 2018</b>       | -                                                    | <b>224</b>                                       |

##### Year ended 31 December 2017

| <i>(in thousands of PLN)</i>        | <i>Impairment losses for non-current receivables</i> | <i>Impairment losses for current receivables</i> |
|-------------------------------------|------------------------------------------------------|--------------------------------------------------|
| <b>As at 1 January 2017</b>         | -                                                    | <b>509</b>                                       |
| Increases                           | -                                                    | 140                                              |
| - impairment losses for settlements | -                                                    | 140                                              |
| Utilization                         | -                                                    | (239)                                            |
| - impairment losses for settlements | -                                                    | (239)                                            |
| Reversal                            | -                                                    | (3)                                              |
| - impairment losses for settlements | -                                                    | (3)                                              |
| <b>As at 31 December 2017</b>       | -                                                    | <b>407</b>                                       |

#### 15. NON-CURRENT LIABILITIES

Structure of the due and payable date of non-current liabilities:

##### 31 December 2018

| <i>(in thousands of PLN)</i>                                 | <i>up to 1 year</i> | <i>1 - 3 years</i> | <i>3 - 5 years</i> | <i>more than 5 years</i> | <i>Total</i>   |
|--------------------------------------------------------------|---------------------|--------------------|--------------------|--------------------------|----------------|
| Non-current liabilities to related entities                  | -                   | -                  | -                  | -                        | -              |
| To other entities in which the company has equity exposure   | -                   | -                  | -                  | -                        | -              |
| Non-current liabilities to related entities, including:      | 130,451             | 351,474            | 167,381            | 82,026                   | 731,332        |
| a) bank loans and borrowings                                 | 89,476              | 197,893            | 163,211            | 82,026                   | 532,606        |
| b) for issue of debt securities                              | 654                 | 99,829             | -                  | -                        | 100,483        |
| d) for finance leases                                        | 40,321              | 53,752             | 4,170              | -                        | 98,243         |
| <b>Non-current liabilities, total as at 31 December 2018</b> | <b>130,451</b>      | <b>351,474</b>     | <b>167,381</b>     | <b>82,026</b>            | <b>731,332</b> |

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**31 December 2017**

| <i>(in thousands of PLN)</i>                                 | <i>up to 1 year</i> | <i>1 - 3 years</i> | <i>3 - 5 years</i> | <i>more<br/>than 5<br/>years</i> | <i>Total</i>   |
|--------------------------------------------------------------|---------------------|--------------------|--------------------|----------------------------------|----------------|
| Non-current liabilities to related entities                  | -                   | -                  | -                  | -                                | -              |
| To other entities in which the company has equity exposure   | -                   | -                  | -                  | -                                | -              |
| Non-current liabilities to related entities, including:      | 103,346             | 317,192            | 124,745            | 50,104                           | 595,387        |
| a) bank loans and borrowings                                 | 62,308              | 152,061            | 110,145            | 50,104                           | 374,618        |
| b) for issue of debt securities                              | 654                 | 99,750             | -                  | -                                | 100,404        |
| d) for finance leases                                        | 40,384              | 65,381             | 14,600             | -                                | 120,365        |
| <b>Non-current liabilities, total as at 31 December 2017</b> | <b>103,346</b>      | <b>317,192</b>     | <b>124,745</b>     | <b>50,104</b>                    | <b>595,387</b> |

**16. SOCIAL ASSETS AND LIABILITIES**

The Act on the Company Social Benefits Fund of 4 March 1994, as amended requires companies employing 20 or more people to establish and run a company social benefits fund.

Social assets and liabilities did not occur in the year ended 31 December 2018 and 31 December 2017. The Company does not assess or carry any assets in the Company Social Benefits Fund in accordance with paragraph 15 of the Remuneration Bylaws (consolidated version of 31 October 2013, as amended).

**17. ACCRUALS AND DEFERRED REVENUE**

| <i>(in thousands of PLN)</i>                        | <i>31.12.2018</i> | <i>31.12.2017*</i> |
|-----------------------------------------------------|-------------------|--------------------|
| <b>1. Negative goodwill</b>                         | -                 | -                  |
| <b>2a. Total other non-current deferred revenue</b> | <b>236</b>        | <b>439</b>         |
| - grants                                            | 236               | 439                |
| <b>2b. Total other current deferred revenue</b>     | <b>21,599</b>     | <b>18,835</b>      |
| Other, including:                                   | 21,599            | 18,835             |
| - provision for unused holiday leave                | 21,307            | 18,132             |
| - provision for auditing the financial statements   | 90                | 501                |
| - grants                                            | 202               | 202                |
| <b>Deferred revenue – total</b>                     | <b>21,835</b>     | <b>19,274</b>      |

\*Restated data

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**18. LIABILITIES SECURED ON THE ENTITY'S ASSETS**

The Company had the following types of liabilities secured on its assets (in thousands of PLN):

**31 December 2018**

| <i>Type of liability</i>                    | <i>Date agreement signed</i> | <i>Balance of liability as at 31 December 2018*<br/>(thousands of PLN)</i> | <i>Interest rate</i> | <i>Date of repayment</i> | <i>Collateral type</i>                                                                                                                                                |
|---------------------------------------------|------------------------------|----------------------------------------------------------------------------|----------------------|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. Credit facility with mBank               | 2013-11-22                   | 1,770                                                                      | WIBOR + margin       | 2023-10-31               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 2. Credit facility with mBank               | 2012-03-08                   | 4,539                                                                      | WIBOR + margin       | 2021-12-31               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 3. Credit facility with PKO BP              | 2012-01-26                   | -                                                                          | WIBOR + margin       | 2019-10-28               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 4. Credit facility with PKO BP              | 2011-04-13                   | 2,579                                                                      | WIBOR + margin       | 2021-04-12               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 5. Credit facility with PKO BP              | 2013-05-23                   | 32,500                                                                     | WIBOR + margin       | 2021-12-31               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 6. Credit facility with PKO BP              | 2016-10-25                   | 47,248                                                                     | WIBOR + margin       | 2024-10-24               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 7. Credit facility with BZ WBK              | 2018-02-19                   | 66,310                                                                     | WIBOR + margin       | 2023-02-18               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 8. Credit facility with mBank               | 2014-01-09                   | 15,327                                                                     | WIBOR + margin       | 2023-11-30               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 9. Credit facility with ING                 | 2014-04-15                   | 29,170                                                                     | WIBOR + margin       | 2022-04-14               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 10. Credit facility with Bank Millennium    | 2014-12-18                   | 7,167                                                                      | WIBOR + margin       | 2020-06-17               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 11. Credit facility with mBank              | 2015-04-17                   | 16,025                                                                     | WIBOR + margin       | 2025-03-31               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 12. Credit facility with ING                | 2014-04-15                   | -                                                                          | WIBOR + margin       | 2020-04-14               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 13. Credit facility with Millennium         | 2018-08-09                   | 28                                                                         | WIBOR + margin       | 2021-08-08               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 14. Credit facility with mBank              | 2016-08-16                   | 3,753                                                                      | WIBOR + margin       | 2021-07-30               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 15. Credit facility with mBank              | 2016-04-11                   | -                                                                          | WIBOR + margin       | 2019-10-08               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 16. Credit facility with Millennium         | 2016-05-12                   | 24,858                                                                     | WIBOR + margin       | 2021-05-11               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 17. Borrowing from Siemens                  | 2016-02-24                   | 1,051                                                                      | WIBOR + margin       | 2021-02-28               | bill of exchange                                                                                                                                                      |
| 18. Credit facility with PKO BP             | 2016-10-25                   | 134,118                                                                    | WIBOR + margin       | 2025-04-24               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 19. Credit facility with ING                | 2016-04-15                   | 17,186                                                                     | WIBOR + margin       | 2024-04-14               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 20. Credit facility with BGŻ BNP Paribas    | 2017-03-20                   | -                                                                          | WIBOR + margin       | 2019-03-19               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 21. Credit facility with BGŻ BNP Paribas    | 2017-03-20                   | 80,000                                                                     | WIBOR + margin       | 2025-12-31               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 22. Credit facility with ING                | 2018-07-03                   | 50,000                                                                     | WIBOR + margin       | 2026-07-02               | joint contractual mortgage, assignment of rights to an insurance policy                                                                                               |
| 23. Credit facility with Bank Handlowy CITI | 2018-10-03                   | -                                                                          | WIBOR + margin       | 2021-10-01               | joint contractual mortgage, assignment of rights to an insurance policy, statement of submission to enforcement art. 777 par. 1 item 5 of the Code of Civil Procedure |
| <b>TOTAL</b>                                |                              | <b>533,629</b>                                                             |                      |                          |                                                                                                                                                                       |

\* Balance of liabilities net of commissions.

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| <i>Type of liability</i>                                      | <i>Date agreement signed</i> | <i>Balance of liability as at 31 December 2017*<br/>(thousands of PLN)</i> | <i>Interest rate</i> | <i>Date of repayment</i> | <i>Collateral type</i>                                                  |
|---------------------------------------------------------------|------------------------------|----------------------------------------------------------------------------|----------------------|--------------------------|-------------------------------------------------------------------------|
| 1. Credit facility with mBank                                 | 2013-11-22                   | 2,136                                                                      | WIBOR + margin       | 2023-10-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 2. Credit facility with mBank                                 | 2012-03-08                   | 6,052                                                                      | WIBOR + margin       | 2021-12-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 3. Credit facility with PKO BP                                | 2012-01-26                   | -                                                                          | WIBOR + margin       | 2018-10-28               | joint contractual mortgage, assignment of rights to an insurance policy |
| 4. Credit facility with PKO BP                                | 2011-04-13                   | 3,788                                                                      | WIBOR + margin       | 2021-04-12               | joint contractual mortgage, assignment of rights to an insurance policy |
| 5. Credit facility with PKO BP                                | 2013-05-23                   | 44,236                                                                     | WIBOR + margin       | 2021-12-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 6. Credit facility with PKO BP                                | 2016-10-25                   | 56,149                                                                     | WIBOR + margin       | 2024-10-24               | joint contractual mortgage, assignment of rights to an insurance policy |
| 7. Agreement for an accounts receivable limit with Raiffeisen | 2011-12-20                   | -                                                                          | WIBOR + margin       | 2018-11-30               | assignment of accounts receivable on account of card payments           |
| 8. Credit facility with BZ WBK                                | 2012-07-31                   | 21,568                                                                     | WIBOR + margin       | 2022-07-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 9. Credit facility with BZ WBK                                | 2014-02-20                   | 10,964                                                                     | WIBOR + margin       | 2019-02-28               | joint contractual mortgage, assignment of rights to an insurance policy |
| 10. Credit facility with mBank                                | 2014-01-09                   | 18,512                                                                     | WIBOR + margin       | 2023-11-30               | joint contractual mortgage, assignment of rights to an insurance policy |
| 11. Credit facility with ING                                  | 2014-04-15                   | 37,502                                                                     | WIBOR + margin       | 2022-04-14               | joint contractual mortgage, assignment of rights to an insurance policy |
| 12. Credit facility with Bank Millennium                      | 2014-12-18                   | 10,252                                                                     | WIBOR + margin       | 2020-06-17               | joint contractual mortgage, assignment of rights to an insurance policy |
| 13. Credit facility with mBank                                | 2015-04-17                   | 18,590                                                                     | WIBOR + margin       | 2025-03-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 14. Credit facility with BZ WBK                               | 2015-02-05                   | 20,774                                                                     | WIBOR + margin       | 2020-01-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 15. Credit facility with BZ WBK                               | 2014-07-31                   | 3,050                                                                      | WIBOR + margin       | 2019-07-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 16. Credit facility with ING                                  | 2014-04-15                   | -                                                                          | WIBOR + margin       | 2018-04-14               | joint contractual mortgage, assignment of rights to an insurance policy |
| 17. Credit facility with Millennium                           | 2012-04-27                   | -                                                                          | WIBOR + margin       | 2018-06-25               | joint contractual mortgage, assignment of rights to an insurance policy |
| 18. Credit facility with BZ WBK                               | 2016-09-30                   | 19,441                                                                     | WIBOR + margin       | 2021-08-31               | joint contractual mortgage, assignment of rights to an insurance policy |
| 19. Credit facility with mBank                                | 2016-08-16                   | 4,269                                                                      | WIBOR + margin       | 2021-07-30               | joint contractual mortgage, assignment of rights to an insurance policy |
| 20. Credit facility with mBank                                | 2016-04-11                   | -                                                                          | WIBOR + margin       | 2018-10-09               | joint contractual mortgage, assignment of rights to an insurance policy |
| 21. Credit facility with Millennium                           | 2016-05-12                   | 20,623                                                                     | WIBOR + margin       | 2021-05-11               | joint contractual mortgage, assignment of rights to an insurance policy |
| 22. Borrowing from Siemens                                    | 2016-02-24                   | 1,475                                                                      | WIBOR + margin       | 2021-02-28               | bill of exchange                                                        |
| 23. Credit facility with PKO BP                               | 2016-10-25                   | 35,104                                                                     | WIBOR + margin       | 2025-04-24               | joint contractual mortgage, assignment of rights to an insurance policy |
| 24. Credit facility with ING                                  | 2016-04-15                   | 18,745                                                                     | WIBOR + margin       | 2024-04-14               | joint contractual mortgage, assignment of rights to an insurance policy |
| 25. Credit facility with BGŻ BNP Paribas                      | 2017-03-20                   | -                                                                          | WIBOR + margin       | 2019-03-19               | joint contractual mortgage, assignment of rights to an insurance policy |
| 26. Credit facility with BGŻ BNP Paribas                      | 2017-03-20                   | 22,262                                                                     | WIBOR + margin       | 2027-03-19               | joint contractual mortgage, assignment of rights to an insurance policy |
| <b>TOTAL</b>                                                  |                              | <b>375,492</b>                                                             |                      |                          |                                                                         |

\* Balance of liabilities net of commissions.

In addition, the liabilities for loans and lease agreements also have security interests in the form of blank bills of exchange.

## 19. CONTINGENT LIABILITIES, ALSO INCLUDING THE GUARANTEES AND SURETIES EXTENDED BY THE ENTITY, ALSO ON BILLS OF EXCHANGE

As at 31 December 2017 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement of 14 December 2011 entered into with BRE Bank S.A. (mBank SA) for the amount of PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement of 15 January 2018 entered into with PKO BP S.A. for the amount of PLN 16,137 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 16 August 2016 entered into with mBank S.A. for the amount of PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.

As at 31 December 2018 the Company had the following contingent liabilities:

1. surety for amortization of an investment loan drawn down by Agro-Rydzyna sp. z o.o., agreement of 14 December 2011 entered into with BRE Bank S.A. for the amount of PLN 14,750 thousand. The loan has a floating interest rate. The final date of repayment is 31 August 2021. The surety covers the principal, interest on the principal and other costs.
2. surety for amortization of an investment loan drawn down by Dino Krotoszyn sp. z o.o., agreement of 25 October 2016 entered into with PKO BP S.A. for the amount of PLN 11,350 thousand. The loan has a floating interest rate. The final date of repayment is 24 October 2024. The surety covers the principal, interest on the principal and other costs.
3. surety for amortization of an investment loan drawn down by Centrum Wynajmu Nieruchomości sp. z o.o., agreement of 16 August 2016 entered into with mBank S.A. for the amount of PLN 32,000 thousand. The loan has a floating interest rate. The final date of repayment is 30 July 2021. The surety covers the principal, interest on the principal and other costs.

## 20. OTHER AGREEMENTS NOT INCORPORATED IN THE BALANCE SHEET

As at 31 December 2018 and as at 31 December 2017 the Company did not have any material off-balance sheet liabilities not disclosed in the financial statements.

## 21. SALES SPLIT BY NATURE AND TERRITORY

The sales revenue split by nature in 2018 and 2017 was as follows:

| <i>Type of activity (in thousands of PLN)</i> | <i>01.01.2018-31.12.2018</i> | <i>01.01.2017-31.12.2017*</i> |
|-----------------------------------------------|------------------------------|-------------------------------|
| 1. Sales of services                          | 19,638                       | 14,549                        |
| 2. Sales of merchandise                       | 5,812,583                    | 4,439,694                     |
| <b>Net sales revenues, total</b>              | <b>5,832,221</b>             | <b>4,454,243</b>              |

*\*Restated data*

All the sales revenues in the current and previous financial year were generated domestically.

## 22. IMPAIRMENT LOSSES FOR FIXED ASSETS

The Company did not take any impairment losses for fixed assets.

## 23. INTEREST AND FX GAINS AND LOSSES ADDED TO THE PRICE OF BUYING MERCHANDISE OR THE COST OF MANUFACTURING PRODUCTS IN THE FINANCIAL YEAR

In the financial year ending 31 December 2018 and in the previous year the Company did not add interest or FX gains and losses to the price of buying merchandise or the cost of manufacturing products.

## 24. INVENTORIES MEASURED AT PURCHASE PRICE

(in thousands of PLN)

|                                                     | 31.12.2018     | 31.12.2017     |
|-----------------------------------------------------|----------------|----------------|
| 1. Merchandise (at purchase price)                  | 428,621        | 358,573        |
| <b>Total inventories measured at purchase price</b> | <b>428,621</b> | <b>358,573</b> |

The Company conducts a periodic inventory of inventories. To restate them at the end of the period the inventory provision is estimated. As at 31 December 2018, the value of this provision was PLN 12,623 thousand (PLN 8,197 thousand as at 31 December 2017).

## 25. INFORMATION CONCERNING REVENUES, EXPENSES AND THE RESULTS OF DISCONTINUED ACTIVITY IN THE FINANCIAL YEAR OR OF ACTIVITY THAT IS EXPECTED TO BE DISCONTINUED IN THE SUBSEQUENT YEAR

The Company did not discontinue any activity in the financial year, nor does it intend to discontinue any type of activity in the following year.

## 26. INCOME TAX

The reconciliation of profit before tax to taxable income is as follows:

|                                                                                                                                                                                      | 01.01.2018-<br>31.12.2018 | 01.01.2017-<br>31.12.2017* |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|----------------------------|
| <b>A. Gross profit (loss) for the year</b>                                                                                                                                           | <b>265,563</b>            | <b>173,445</b>             |
| <b>B. Tax exempt revenues (permanent differences between profit/loss for accounting purposes and the profit/loss for taxation purposes) including:</b>                               | -                         | -                          |
| <b>C. Revenues not subject to taxation in the current year, including:</b>                                                                                                           | <b>41,023</b>             | <b>39,059</b>              |
| - accrued interest                                                                                                                                                                   | (3,221)                   | (3,958)                    |
| - foreign exchange gains                                                                                                                                                             | (203)                     | (10)                       |
| - inventory adjustment at purchase price                                                                                                                                             | (3,458)                   | 1,637                      |
| - deferred income                                                                                                                                                                    | (14,570)                  | (9,652)                    |
| - discount of trade payables                                                                                                                                                         | (318)                     | 742                        |
| - license fees                                                                                                                                                                       | 62,793                    | 50,300                     |
| <b>D. Revenues subject to taxation in the current year, recognized in the accounting ledgers of previous years, including:</b>                                                       | <b>277</b>                | <b>214</b>                 |
| - interest on loan agreements / accrued interest                                                                                                                                     | 267                       | 188                        |
| - foreign exchange gains                                                                                                                                                             | 10                        | 26                         |
| <b>E. Expenses not constituting tax-deductible expenses (permanent differences between profit/loss for accounting purposes and the profit/loss for taxation purposes) including:</b> | <b>(6,716)</b>            | <b>8,490</b>               |
| - tax effect of the incentive program                                                                                                                                                | -                         | 7,500                      |
| - other (including interest, donations, other costs)                                                                                                                                 | (6,716)                   | 990                        |
| <b>F. Expenses not recognized as tax-deductible expenses in the current year, including:</b>                                                                                         | <b>(13,861)</b>           | <b>(11,241)</b>            |
| - differences between depreciation for tax purposes and for balance sheet purposes                                                                                                   | (28,230)                  | (2,391)                    |
| - provision for unused holiday leave and other employee benefits (including salaries / bonuses)                                                                                      | 7,721                     | 2,452                      |
| - social security contributions, payroll for November - December                                                                                                                     | 17,928                    | 13,765                     |
| - mandate contracts paid in the subsequent year                                                                                                                                      | 807                       | 898                        |
| - finance leases / operation leases in the balance sheet                                                                                                                             | (36,708)                  | (37,552)                   |
| - provision for other expenses (including security services, energy costs, liabilities requiring safety deposits)                                                                    | 24,069                    | 12,280                     |
| - accrued interest, foreign exchange gains and losses                                                                                                                                | 432                       | (693)                      |
| <b>G. Expenses recognized as tax-deductible expenses in the current year, recognized in the accounting ledgers of previous years, including:</b>                                     | <b>(22,180)</b>           | <b>(10,067)</b>            |
| - provision for employee benefits / bonuses                                                                                                                                          | (3,149)                   | -                          |
| - social security contributions, payroll for November - December                                                                                                                     | (13,767)                  | (9,216)                    |
| - mandate contracts paid in the subsequent year                                                                                                                                      | (898)                     | (392)                      |
| - provision for other costs (including energy)                                                                                                                                       | (2,825)                   | -                          |
| - other (including interest, foreign exchange gains and losses)                                                                                                                      | (1,541)                   | (459)                      |
| <b>H. Loss brought forward, including:</b>                                                                                                                                           | -                         | -                          |
| <b>I. Other changes to taxable income, including:</b>                                                                                                                                | -                         | -                          |
| <b>J. Taxable income</b>                                                                                                                                                             | <b>264,106</b>            | <b>199,900</b>             |
| <b>K. Income tax</b>                                                                                                                                                                 | <b>50,180</b>             | <b>37,981</b>              |

\*Restated data

In 2013, the Company prepaid rents for the lease of investment property within the Group. According to analysis performed by the Management Board, tax regulations stipulate that prepaid rents became taxable revenue on the

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date of their receipt, whereas tax-deductible expense is settled throughout the term of the lease agreement. As at 31 December 2018, the accruals on account of prepaid rent were settled in full (as at 31 December 2017 they stood at PLN 31,258 thousand).

In 2015, the Management Board made a decision to concentrate its marketing and trademark management activities in Pol-Food Polska sp. z o.o., a company which had previously been engaged in white label management activities within the Group. As a result of this decision, intangible assets in the form of "Dino" and "Agro – Rydzyna" trademarks were transferred Pol-Food Polska sp. z o.o. Also transferred to this company were employees in charge of discharging those functions who had previously been employed by other member companies of the Group. Among the reasons for the reorganization decision was the objective to create within the Group an entity specialized in carrying out marketing and trademark management activities. The utilization of existing competence of the staff of Pol-Food Polska sp. z o.o. reinforced by that of other companies' employees is intended to enable the creation, within the Group, of a professional competence center streamlining the Group's operations, reducing its operating expenses and ensuring better legal protection for its trademarks. Transactions related to the transfer of the said trademarks to Pol-Food Polska sp. z o.o. were effected on the basis of the fair values of the trademarks as at the transaction date. These values were also used as the basis for the depreciation of the trademarks for tax purposes by the entity that became their new owner as a result of the reorganization. Consequently, a negative temporary difference was created between the carrying amount and the tax value of these trademarks. The Management Board estimated future tax results of both Pol-Food Polska sp. z o.o. and the Group and applied its discretion to the possibility of recognizing trademark depreciation charges as tax-deductible expenses. In 2018 Pol – Food Polska sp. z o.o. was merged with Dino Polska S.A., which was described in note 45.

In 2016 the Company received a dividend from a subsidiary in which the Company holds 100% of its shares. The dividend was tax exempt because the Company holds 100% of its shares. for more than 2 years (according to Article 22 of the Corporate Income Tax Act).

Regulations regarding VAT, corporate and personal income tax and social security contributions are subject to frequent changes. As a result, there is frequently no reference to entrenched regulations or legal precedents. The binding regulations also contain uncertainties resulting in differences in opinions regarding the legal interpretation of tax regulations between government authorities and between government authorities and companies. Tax settlements and others (e.g. customs or foreign currency related issues) may be subject to inspection by administrative authorities authorized to impose high penalties, and any additional liabilities assessed as a result of such an inspection must be paid together plus high interest. These conditions mean that the tax risk in Poland is higher than usually exists in countries with a more mature fiscal system. Tax settlements may be subject to inspection for five years. As a result, the amounts carried in the financial statements may be subject to change at a later date after they are ultimately determined by the tax authorities.

Differences by virtue of the following form part of the provision / deferred tax asset:

|                                                      | <i>Balance sheet</i> |                    | <i>Statement of profit or loss for the year ended</i> |                    |
|------------------------------------------------------|----------------------|--------------------|-------------------------------------------------------|--------------------|
|                                                      | <i>31.12.2018</i>    | <i>31.12.2017*</i> | <i>31.12.2018</i>                                     | <i>31.12.2017*</i> |
| <i>Deferred tax liability</i>                        |                      |                    |                                                       |                    |
| Accelerated tax depreciation                         | 18,573               | 13,671             | 4,902                                                 | (4,522)            |
| Accrued interest unpaid as at the balance sheet date | 1,673                | 752                | 921                                                   | 421                |
| Deferred income                                      | 7,510                | 4,742              | 2,768                                                 | 1,834              |
| Foreign exchange gains                               | 37                   | 2                  | 35                                                    | (3)                |
| <b>Deferred tax liability</b>                        | <b>27,793</b>        | <b>19,167</b>      | <b>8,626</b>                                          | <b>(2,270)</b>     |

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*Deferred tax assets*

|                                                                |               |               |               |                 |
|----------------------------------------------------------------|---------------|---------------|---------------|-----------------|
| Provisions for jubilee awards and pension severance pay        | 356           | 260           | 96            | 26              |
| Provision for unused holiday leave                             | 4,048         | 3,445         | 603           | 1,201           |
| Provision for employee benefits / bonuses                      | 767           | 599           | 168           | (769)           |
| Mandate contracts paid in the subsequent year                  | 134           | 171           | (37)          | 97              |
| Social security contributions, payroll for November - December | 3,406         | 2,618         | 788           | 867             |
| Provision reducing inventories                                 | 11,687        | 8,496         | 3,191         | 3,655           |
| Provision for auditing the financial statements                | 90            | 95            | (5)           | 75              |
| Provision for interest to be paid                              | 2,272         | 2,358         | (86)          | 2,272           |
| Provision for other costs                                      | 965           | 1,414         | (449)         | (34)            |
| Losses deductible from future taxable income                   | -             | 2,447         | (2,447)       | 2,447           |
| Impairment losses established for current receivables          | 18            | 39            | (21)          | -               |
| Foreign exchange losses                                        | 1             | 1             | -             | 1               |
| <b>Deferred tax assets</b>                                     | <b>23,744</b> | <b>21,943</b> | <b>1,801</b>  | <b>9,838</b>    |
| <b>Deferred tax expense</b>                                    |               |               | <b>6,825</b>  | <b>(12,108)</b> |
| <b>Income tax</b>                                              |               |               | <b>50,180</b> | <b>37,981</b>   |
| Other adjustments                                              |               |               | -             | 8,414           |
| <b>Income tax – total</b>                                      |               |               | <b>57,005</b> | <b>34,287</b>   |

\*Restated data

## 27. OTHER OPERATING INCOME

(in thousands of PLN)

|                                                        | 01.01.2018-31.12.2018 | 01.01.2017-31.12.2017* |
|--------------------------------------------------------|-----------------------|------------------------|
| Profit on disposal of non-financial non-current assets | -                     | -                      |
| Grants                                                 | 202                   | 371                    |
| Other operating income, including:                     | 4,450                 | 2,394                  |
| - reversal of impairment losses for receivables        | 35                    | 3                      |
| - received payments for damages                        | 1,117                 | 1,063                  |
| - income for making timely payments (0.3%)             | 108                   | 74                     |
| - revenues on the sales of PMEF certificates           | 632                   | 107                    |
| - rounding                                             | 44                    | 26                     |
| - other (including i.a. debit / credit notes)          | 2,514                 | 1,121                  |
| <b>Other operating income, total</b>                   | <b>4,652</b>          | <b>2,765</b>           |

\*Restated data

## 28. OTHER OPERATING EXPENSES

(in thousands of PLN)

|                                                                  | 01.01.2018-31.12.2018 | 01.01.2017-31.12.2017* |
|------------------------------------------------------------------|-----------------------|------------------------|
| Loss on disposal of non-financial non-current assets, including: | 1,475                 | 1,193                  |
| - loss on the disposal of fixed assets and intangible assets     | 1,475                 | 1,193                  |
| Other operating expenses, including:                             | 903                   | 731                    |
| - losses resulting from inventory shortages                      | 391                   | 285                    |
| - donations                                                      | 270                   | 40                     |
| - costs of court proceedings                                     | -                     | 3                      |
| - other                                                          | 179                   | 263                    |
| - written off receivables                                        | 63                    | 140                    |
| <b>Other operating expenses, total</b>                           | <b>2,378</b>          | <b>1,924</b>           |

\*Restated data



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**29. FINANCIAL INCOME**

| <i>(in thousands of PLN)</i>                                      | <i>01.01.2018-31.12.2018</i> | <i>01.01.2017-31.12.2017*</i> |
|-------------------------------------------------------------------|------------------------------|-------------------------------|
| Profit by virtue of participation in related entities, including: | -                            | -                             |
| Interest, including:                                              | 5,197                        | 5,901                         |
| - interest from related companies                                 | 4,950                        | 5,499                         |
| - interest from other business partners                           | -                            | 353                           |
| - bank interest                                                   | 247                          | 49                            |
| Other, including:                                                 | 37                           | 52                            |
| - foreign exchange gains and losses                               | 37                           | 37                            |
| - other financial income                                          | -                            | 15                            |
| <b>Financial income, total</b>                                    | <b>5,234</b>                 | <b>5,953</b>                  |

*\*Restated data*

**30. FINANCIAL EXPENSES**

| <i>(in thousands of PLN)</i>                       | <i>01.01.2018-31.12.2018</i> | <i>01.01.2017-31.12.2017*</i> |
|----------------------------------------------------|------------------------------|-------------------------------|
| Interest, including:                               | 42,976                       | 36,667                        |
| - interest paid to related companies               | 136                          | 1,640                         |
| - discount of trade payables                       | 19,539                       | 15,569                        |
| - bank interest                                    | 16,655                       | 14,670                        |
| - interest on lease agreements                     | 3,610                        | 4,123                         |
| - interest on bonds                                | 3,011                        | 656                           |
| - other interest                                   | 25                           | 9                             |
| Other, including:                                  | 6,319                        | 6,523                         |
| - other financial expenses (commissions, sureties) | 6,319                        | 6,523                         |
| <b>Financial expenses, total</b>                   | <b>49,295</b>                | <b>43,190</b>                 |

*\*Restated data*

**31. COST OF MANUFACTURING FIXED ASSETS UNDER CONSTRUCTION**

| <i>(in thousands of PLN)</i>                                      | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|-------------------------------------------------------------------|----------------------------------|----------------------------------|
| Cost of manufacturing fixed assets under construction, including: | 6,718                            | 3,446                            |
| - costs of the investment department                              | 6,718                            | 3,446                            |

**32. INCOME AND COSTS OF AN EXTRAORDINARY AMOUNT OR THAT OCCURRED INCIDENTALLY**

In the financial year ending 31 December 2018 and in the previous year there were no income and costs of an extraordinary amount or that occurred incidentally.

**33. COMPOSITION OF CASH IN THE STATEMENT OF CASH FLOWS**

| <i>(in thousands of PLN)</i> | <i>31.12.2018</i> | <i>31.12.2017</i> |
|------------------------------|-------------------|-------------------|
| <b>Cash in the bank</b>      | <b>62,600</b>     | <b>54,487</b>     |
| - current accounts           | 48,831            | 15,482            |
| - cash <i>en route</i>       | 13,769            | 39,005            |
| <b>Cash on hand</b>          | <b>17,126</b>     | <b>12,583</b>     |
| <b>Other cash</b>            | <b>196,099</b>    | <b>118,908</b>    |
| - current deposits           | 179,658           | 93,618            |
| - payment cards              | 16,441            | 25,290            |
| <b>Cash, total</b>           | <b>275,825</b>    | <b>185,978</b>    |

**34. REASONS FOR DIFFERENCES BETWEEN THE BALANCE SHEET MOVEMENTS IN SOME LINE ITEMS AND THE MOVEMENTS FOLLOWING FROM THE STATEMENT OF CASH FLOWS**

| <i>Interest and profit sharing (in thousands of PLN)</i>          | <i>01.01.2018-31.12.2018</i> | <i>01.01.2017-31.12.2017</i> |
|-------------------------------------------------------------------|------------------------------|------------------------------|
| Result on financing activity for interest                         | 37,779                       | 30,766                       |
| Financial expenses - commissions and sureties received            | 1,461                        | 6,798                        |
| Liquidation of shares                                             | 50                           | -                            |
| <b>Interest and profit sharing in the statement of cash flows</b> | <b>39,290</b>                | <b>37,564</b>                |

| <i>Receivables (in thousands of PLN)</i>                          | <i>01.01.2018-31.12.2018</i> | <i>01.01.2017-31.12.2017</i> |
|-------------------------------------------------------------------|------------------------------|------------------------------|
| Balance sheet movement in net non-current and current receivables | (9,455)                      | (14,742)                     |
| Movement in receivables on the sale of fixed assets               | 1,653                        | (260)                        |
| <b>Movement in receivables in the statement of cash flows</b>     | <b>(7,802)</b>               | <b>(15,002)</b>              |

| <i>Liabilities (in thousands of PLN)</i>                               | <i>01.01.2018-31.12.2018</i> | <i>01.01.2017-31.12.2017</i> |
|------------------------------------------------------------------------|------------------------------|------------------------------|
| Balance sheet movement of current and non-current liabilities          | 530,632                      | 358,365                      |
| Balance sheet movement of current and non-current loans and borrowings | (157,988)                    | 3,261                        |
| Movement in finance lease liabilities                                  | 22,122                       | (11,648)                     |
| Movement in liabilities for the fees for received sureties             | 4,797                        | (274)                        |
| Movement in settlements on the purchase of fixed assets                | (53,416)                     | (2,455)                      |
| Movement in bonds                                                      | -                            | (106,000)                    |
| Liabilities for the purchase of shares                                 | (31,550)                     | -                            |
| <b>Movement in liabilities in the statement of cash flows</b>          | <b>314,597</b>               | <b>247,249</b>               |

In 2017 cash flow from operating activities was adjusted for the costs of the incentive program totaling PLN 7,500 thousand.

**35. INFORMATION CONCERNING HEADCOUNT WITH A BREAKDOWN INTO OCCUPATIONAL GROUPS**

| <i>Group of employees</i> | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|---------------------------|----------------------------------|----------------------------------|
| Management Board          | 2                                | 2                                |
| White-collar employees    | 2,099                            | 1,511                            |
| Blue-collar employees     | 13,421                           | 11,065                           |
| <b>Headcount, total</b>   | <b>15,522</b>                    | <b>12,578</b>                    |

**36. INFORMATION CONCERNING THE FEE CHARGED BY THE STATUTORY AUDITOR OR THE ENTITY AUTHORIZED TO AUDIT THE FINANCIAL STATEMENTS**

The table below presents the fee charged by the entity authorized to audit the financial statements paid or due for the year ended 31 December 2018 and 31 December 2017 split by the types of services:

| <i>Type of services</i>                             | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|-----------------------------------------------------|----------------------------------|----------------------------------|
| Obligatory audit of the annual financial statements | 162                              | 154                              |
| Review of the interim financial statements          | 71                               | 71                               |
| Other services*                                     | -                                | 343                              |
| Tax advisory services                               | -                                | -                                |
| <b>Total, including:</b>                            | <b>233</b>                       | <b>568</b>                       |
| - due as at the balance sheet date                  | <b>70</b>                        | <b>135</b>                       |
| - paid as at the balance sheet date                 | <b>163</b>                       | <b>433</b>                       |

\* Other services concern audit services related to the verification of data contained in the prospectus before the initial public offering.

**37. INFORMATION CONCERNING COMPENSATION, INCLUDING COMPENSATION FROM PROFIT AND PENSION BENEFITS PAID OR DUE TO PERSONS IN THE MANAGING AND SUPERVISING OR ADMINISTERING BODIES**

The compensation of the persons in the Company's managing and supervising or administering bodies was as follows:

| <i>Salaries<br/>(in thousands of PLN)</i> | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|-------------------------------------------|----------------------------------|----------------------------------|
| Company's Management Board                | 1,278                            | 1,137                            |
| Supervisory Board                         | 405                              | 532                              |
| <b>Compensation, total</b>                | <b>1,683</b>                     | <b>1,669</b>                     |

**38. INFORMATION ABOUT LOANS AND BENEFITS OF A SIMILAR NATURE EXTENDED TO PERSONS IN THE MANAGING AND SUPERVISING OR ADMINISTERING BODIES**

In the financial year ending 31 December 2018 and in the previous year the Company did not extend any loans or benefits of a similar nature to persons in the managing and supervising or administering bodies.

**39. INFORMATION ABOUT JOINT VENTURES NOT SUBJECT TO CONSOLIDATION**

The Company did not undertake any joint ventures not subject to consolidation.

**40. INFORMATION ABOUT THE GROUP AND TRANSACTIONS WITH RELATED ENTITIES**

**a) Group**

The Company functions within the DINO Polska Group.

The Company prepares consolidated financial statements for the group in which it is the parent company.

**b) Parent company**

Tomasz Biernacki doing business as Zakłady Mięsne "Biernacki" Tomasz Biernacki with its registered office in Czeluścin, Czeluścin 6, 63-830 Pępowa is the Company's parent company.

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The size of transactions with the parent company was as follows:

| <i>(in thousands of PLN)</i>                       | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|----------------------------------------------------|----------------------------------|----------------------------------|
|                                                    | <i>Total</i>                     | <i>Total</i>                     |
| Procurements                                       | 493                              | 491                              |
| Sales                                              | 20                               | 1                                |
|                                                    | <i>31.12.2018</i>                | <i>31.12.2017</i>                |
|                                                    | <i>Total</i>                     | <i>Total</i>                     |
| Receivables on account of goods, work and services | 3                                | 6                                |
| Payables on account of goods, work and services    | 97                               | 105                              |

**c) Transactions with other related parties, including parties along with the Company that are under the parent company's joint control**

The size of transactions with subsidiaries and associates was as follows:

*"Agro-Rydzyna" spółka z ograniczoną odpowiedzialnością*  
*(in thousands of PLN)*

|                                                    | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|----------------------------------------------------|----------------------------------|----------------------------------|
|                                                    | <i>Total</i>                     | <i>Total</i>                     |
| Procurements                                       | 747,060                          | 588,338                          |
| Sales                                              | 8,918                            | 1,383                            |
|                                                    | <i>31.12.2018</i>                | <i>31.12.2017</i>                |
|                                                    | <i>Total</i>                     | <i>Total</i>                     |
| Receivables on account of goods, work and services | 7,951                            | 6,580                            |
| Payables on account of goods, work and services    | 130,332                          | 90,367                           |
| Other liabilities                                  | 31,330                           | 52                               |

*Vitrena Holdings Ltd*

*(in thousands of PLN)*

|                   | <i>31.12.2018</i> | <i>31.12.2017</i> |
|-------------------|-------------------|-------------------|
|                   | <i>Total</i>      | <i>Total</i>      |
| Other liabilities | 1                 | -                 |

*Centrum Wynajmu Nieruchomości spółka z ograniczoną odpowiedzialnością*

*(in thousands of PLN)*

|                             | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|-----------------------------|----------------------------------|----------------------------------|
|                             | <i>Total</i>                     | <i>Total</i>                     |
| Procurements                | 25,930                           | 26,488                           |
| Sales                       | 1,379                            | 2,123                            |
| Interest – financial income | 1,898                            | 3,661                            |

*(in thousands of PLN)*

|                                                    | <i>31.12.2018</i> | <i>31.12.2017</i> |
|----------------------------------------------------|-------------------|-------------------|
|                                                    | <i>Total</i>      | <i>Total</i>      |
| Receivables on account of goods, work and services | 397               | 718               |
| Payables on account of goods, work and services    | 1,993             | 2,162             |
| Loans granted                                      | 12,605            | -                 |
| Other receivables                                  | 6                 | 314               |
| Other liabilities                                  | 1,546             | 73                |
| Other securities                                   | 27,570            | 25,779            |

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*Centrum Wynajmu Nieruchomości 1 S.A.*

(in thousands of PLN)

|                               | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-------------------------------|--------------------------|--------------------------|
|                               | <i>Total</i>             | <i>Total</i>             |
| Procurements                  | 6,757                    | 4,102                    |
| Sales                         | 222                      | 368                      |
| Interest - financial expenses | 96                       | 101                      |

(in thousands of PLN)

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | 8            | -            |
| Payables on account of goods, work and services    | 5,516        | 371          |
| Loans received                                     | 2,496        | 2,400        |
| Other receivables                                  | 30           | 16           |
| Other liabilities                                  | 357          | -            |

*Centrum Wynajmu Nieruchomości 2 S.A.*

(in thousands of PLN)

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | <i>Total</i>             | <i>Total</i>             |
| Procurements                | 10,107                   | 9,255                    |
| Sales                       | 28                       | 440                      |
| Interest – financial income | 724                      | 736                      |

(in thousands of PLN)

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | 5            | 1            |
| Payables on account of goods, work and services    | 2,628        | 830          |
| Loans granted                                      | 14,787       | 18,563       |
| Other receivables                                  | 5            | -            |
| Other liabilities                                  | 1,118        | 55           |

*Centrum Wynajmu Nieruchomości 3 S.A.*

(in thousands of PLN)

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | <i>Total</i>             | <i>Total</i>             |
| Procurements                | 9,445                    | 8,618                    |
| Sales                       | 18                       | 453                      |
| Interest – financial income | 369                      | 378                      |

(in thousands of PLN)

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | 5            | -            |
| Payables on account of goods, work and services    | 2,341        | 814          |
| Loans granted                                      | 4,902        | 9,733        |
| Other receivables                                  | 5            | -            |
| Other liabilities                                  | 954          | 59           |

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*Centrum Wynajmu Nieruchomości 4 S.A.*  
(in thousands of PLN)

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | Total                    | Total                    |
| Procurements                | 6,756                    | 4,943                    |
| Sales                       | 22                       | 388                      |
| Interest – financial income | 441                      | 392                      |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 6          | -          |
| Payables on account of goods, work and services    | 2,126      | 406        |
| Loans granted                                      | 9,776      | 10,435     |
| Other receivables                                  | 5          | 8          |
| Other liabilities                                  | 711        | 20         |

*Centrum Wynajmu Nieruchomości 5 S.A.*  
(in thousands of PLN)

|                               | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-------------------------------|--------------------------|--------------------------|
|                               | Total                    | Total                    |
| Procurements                  | 5,560                    | 3,773                    |
| Sales                         | 27                       | 390                      |
| Interest - financial expenses | 40                       | 62                       |
| Interest – financial income   | 51                       | 1                        |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 9          | -          |
| Payables on account of goods, work and services    | 3,031      | 295        |
| Loans granted                                      | 2,052      | 401        |
| Loans received                                     | 1,040      | 1,003      |
| Other receivables                                  | 5          | 1          |
| Other liabilities                                  | 663        | 9          |

*Centrum Wynajmu Nieruchomości 6 S.A.*  
(in thousands of PLN)

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | Total                    | Total                    |
| Procurements                | 8,627                    | 7,280                    |
| Sales                       | 23                       | 468                      |
| Interest – financial income | 256                      | 291                      |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 7          | -          |
| Payables on account of goods, work and services    | 2,891      | 657        |
| Loans granted                                      | 6,678      | 6,422      |
| Other receivables                                  | 5          | 158        |
| Other liabilities                                  | 1,061      | 48         |

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*PIK Finanse spółka z ograniczoną odpowiedzialnością*

*(formerly Centrum Wynajmu Nieruchomości Marketing spółka z ograniczoną odpowiedzialnością)*

*(in thousands of PLN)*

|                               | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-------------------------------|--------------------------|--------------------------|
|                               | <i>Total</i>             | <i>Total</i>             |
| Sales                         | 7                        | 8                        |
| Interest - financial expenses | -                        | 1,477                    |

*(in thousands of PLN)*

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | 1            | 1            |
| Loans received                                     | 10,896       | 10,896       |
| Other receivables                                  | -            | 5            |

*Centrum Wynajmu Nieruchomości Sp. z o.o. Marketing 2 SKA (in liquidation)*

*(in thousands of PLN)*

|       | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-------|--------------------------|--------------------------|
|       | <i>Total</i>             | <i>Total</i>             |
| Sales | 2                        | 8                        |

*(in thousands of PLN)*

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | -            | 1            |

*Dino Krotoszyn spółka z ograniczoną odpowiedzialnością*

*(in thousands of PLN)*

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | <i>Total</i>             | <i>Total</i>             |
| Procurements                | 24,849                   | 18,751                   |
| Sales                       | 99                       | 225                      |
| Interest – financial income | 68                       | 32                       |

*(in thousands of PLN)*

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | 7            | 2            |
| Payables on account of goods, work and services    | 15,478       | 3,668        |
| Loans granted                                      | 1,797        | 1,729        |
| Other receivables                                  | 7            | -            |

*Dino Oil spółka z ograniczoną odpowiedzialnością*

*(in thousands of PLN)*

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | <i>Total</i>             | <i>Total</i>             |
| Sales                       | 7                        | 8                        |
| Interest – financial income | 1                        | -                        |

*(in thousands of PLN)*

|                                                    | 31.12.2018   | 31.12.2017   |
|----------------------------------------------------|--------------|--------------|
|                                                    | <i>Total</i> | <i>Total</i> |
| Receivables on account of goods, work and services | 2            | 2            |
| Loans granted                                      | 45           | 34           |

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*Dino Północ spółka z ograniczoną odpowiedzialnością*

(in thousands of PLN)

|       | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-------|--------------------------|--------------------------|
|       | Total                    | Total                    |
| Sales | 7                        | 8                        |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 29         | 20         |

*Dino Południe spółka z ograniczoną odpowiedzialnością*

(in thousands of PLN)

|                             | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-----------------------------|--------------------------|--------------------------|
|                             | Total                    | Total                    |
| Procurements                | 676                      | -                        |
| Sales                       | 2,200                    | 47                       |
| Interest – financial income | 1,142                    | 8                        |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 10         | 64         |
| Payables on account of goods, work and services    | 707        | -          |
| Loans granted                                      | 82,049     | 6          |
| Other receivables                                  | 2,115      | 1          |

The amount of the transactions with other affiliated companies was:

*TBE spółka z ograniczoną odpowiedzialnością*

(in thousands of PLN)

|       | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|-------|--------------------------|--------------------------|
|       | Total                    | Total                    |
| Sales | 5                        | 5                        |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 1          | 1          |

*Krot Invest KR Inżynieria sp. z o.o. SKA*

(in thousands of PLN)

|              | Year ended<br>31.12.2018 | Year ended<br>31.12.2017 |
|--------------|--------------------------|--------------------------|
|              | Total                    | Total                    |
| Procurements | 260,438                  | 181,129                  |
| Sales        | 863                      | 594                      |

(in thousands of PLN)

|                                                    | 31.12.2018 | 31.12.2017 |
|----------------------------------------------------|------------|------------|
|                                                    | Total      | Total      |
| Receivables on account of goods, work and services | 173        | 66         |
| Payables on account of goods, work and services    | 11         | -          |
| Other receivables                                  | 22         | 20         |
| Other liabilities                                  | 85,740     | 41,366     |



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*Krot Invest 2 KR Inżynieria sp. z o.o. sp.k.*

*(in thousands of PLN)*

|              | <i>Year ended<br/>31.12.2018</i> | <i>Year ended<br/>31.12.2017</i> |
|--------------|----------------------------------|----------------------------------|
|              | <i>Total</i>                     | <i>Total</i>                     |
| Procurements | 13,632                           | 9,205                            |
| Sales        | 7                                | 3                                |

*(in thousands of PLN)*

|                                                    | <i>31.12.2018</i> | <i>31.12.2017</i> |
|----------------------------------------------------|-------------------|-------------------|
|                                                    | <i>Total</i>      | <i>Total</i>      |
| Receivables on account of goods, work and services | 6                 | -                 |
| Payables on account of goods, work and services    | 2,936             | 1,521             |
| Other liabilities                                  | 314               | 65                |

**41. TRANSACTIONS WITH OTHER RELATED PARTIES ON A NON-ARM'S LENGTH BASIS**

Transactions concluded by the Company with its related entities in the year ended 31 December 2018 and in the preceding year were concluded on an arm's length basis.

**42. LIST OF ENTITIES IN WHICH THE COMPANY IS A SHAREHOLDER INCURRING UNLIMITED MATERIAL LIABILITY**

In the financial year ended 31 December 2018 and in the previous year the Company was not a shareholder incurring unlimited material liability in any entity.

**43. LIST OF ENTITIES IN WHICH THE COMPANY HOLDS CAPITAL OR VOTES IN THE ENTITY'S DECISION-MAKING BODY**

**31 December 2018**

| <i>Name of the entity</i>                 | <i>Registered office</i> | <i>Book value of the ownership interest / shares</i> | <i>Share in equity (%)</i> | <i>Net profit / (loss) for the year ended 31 December 2018</i> | <i>Equity as at 31 December 2018</i> |
|-------------------------------------------|--------------------------|------------------------------------------------------|----------------------------|----------------------------------------------------------------|--------------------------------------|
| "Agro-Rydzyna" sp. z o.o.*                | Poland, Kłoda            | 99,771                                               | 100%                       | 65,996                                                         | 131,418                              |
| Vitrema Holdings Ltd.**                   | Cyprus, Limassol         | 4                                                    | 100%                       | (63)                                                           | 1                                    |
| Centrum Wynajmu Nieruchomości sp. z o.o.* | Poland, Krotoszyn        | 51                                                   | 100%                       | 7,544                                                          | 18,566                               |
| Dino Krotoszyn sp. z o.o.*                | Poland, Krotoszyn        | 4,000                                                | 100%                       | 6,506                                                          | 30,116                               |
| Dino Najbliżej Ciebie Foundation**        | Poland, Krotoszyn        | 10                                                   | 100%                       | -                                                              | -                                    |
| Dino Oil Sp. z o.o.**                     | Poland, Krotoszyn        | 5                                                    | 100%                       | (8)                                                            | (32)                                 |
| Dino Południe sp. z o.o.**                | Poland, Krotoszyn        | 10,005                                               | 100%                       | 7,563                                                          | 17,512                               |
| Dino Północ sp. z o.o.**                  | Poland, Krotoszyn        | 5                                                    | 100%                       | (10)                                                           | (28)                                 |
| Centrum Wynajmu Nieruchomości 1 S.A.*     | Poland, Krotoszyn        | 139,061                                              | 99%                        | 11,170                                                         | 151,403                              |
| Centrum Wynajmu Nieruchomości 2 S.A.*     | Poland, Krotoszyn        | 91,195                                               | 99%                        | 7,813                                                          | 117,454                              |
| Centrum Wynajmu Nieruchomości 3 S.A.*     | Poland, Krotoszyn        | 90,147                                               | 99%                        | 7,406                                                          | 114,731                              |
| Centrum Wynajmu Nieruchomości 4 S.A.*     | Poland, Krotoszyn        | 99,944                                               | 99%                        | 7,542                                                          | 122,091                              |
| Centrum Wynajmu Nieruchomości 5 S.A.*     | Poland, Krotoszyn        | 98,198                                               | 99%                        | 7,301                                                          | 121,259                              |
| Centrum Wynajmu Nieruchomości 6 S.A.*     | Poland, Krotoszyn        | 94,839                                               | 99%                        | 7,480                                                          | 116,802                              |
| PIK Finanse sp. z o.o.**                  | Poland, Krotoszyn        | 200                                                  | 100%                       | (23)                                                           | 9,663                                |

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| <i>Name of the entity</i>                                  | <i>Registered office</i> | <i>Book value of the ownership interest / shares</i> | <i>Share in equity (%)</i> | <i>Net profit / (loss) for the year ended 31 December 2017</i> | <i>Equity as at 31 December 2017</i> |
|------------------------------------------------------------|--------------------------|------------------------------------------------------|----------------------------|----------------------------------------------------------------|--------------------------------------|
| "Agro-Rydzyna" sp. z o.o.*                                 | Poland, Kłoda            | 99,771                                               | 100%                       | 15,865                                                         | 65,422                               |
| Vitrema Holdings Ltd.**                                    | Cyprus, Limassol         | 4                                                    | 100%                       | (2)                                                            | 75                                   |
| Centrum Wynajmu Nieruchomości sp. z o.o.*                  | Poland, Krotoszyn        | 51                                                   | 100%                       | 3,836                                                          | 11,022                               |
| Dino Krotoszyn sp. z o.o.*                                 | Poland, Krotoszyn        | 4,000                                                | 100%                       | 5,178                                                          | 23,609                               |
| Dino Najbliżej Ciebie Foundation**                         | Poland, Krotoszyn        | 10                                                   | 100%                       | -                                                              | -                                    |
| Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA** | Poland, Krotoszyn        | 50                                                   | 100%                       | (13)                                                           | 14                                   |
| Dino Oil Sp. z o.o.**                                      | Poland, Krotoszyn        | 5                                                    | 100%                       | (11)                                                           | (24)                                 |
| Dino Południe sp. z o.o.**                                 | Poland, Krotoszyn        | 10,005                                               | 100%                       | (44)                                                           | 9,948                                |
| Dino Północ sp. z o.o.**                                   | Poland, Krotoszyn        | 5                                                    | 100%                       | (11)                                                           | (19)                                 |
| Pol-Food Polska sp. z o.o.*                                | Poland, Krotoszyn        | 9,866                                                | 90%                        | 28,201                                                         | 365,500                              |
| Centrum Wynajmu Nieruchomości 1 S.A.*                      | Poland, Krotoszyn        | 139,061                                              | 99%                        | 11,189                                                         | 140,233                              |
| Centrum Wynajmu Nieruchomości 2 S.A.*                      | Poland, Krotoszyn        | 91,195                                               | 99%                        | 7,812                                                          | 109,640                              |
| Centrum Wynajmu Nieruchomości 3 S.A.*                      | Poland, Krotoszyn        | 90,147                                               | 99%                        | 7,425                                                          | 107,325                              |
| Centrum Wynajmu Nieruchomości 4 S.A.*                      | Poland, Krotoszyn        | 99,944                                               | 99%                        | 7,550                                                          | 114,549                              |
| Centrum Wynajmu Nieruchomości 5 S.A.*                      | Poland, Krotoszyn        | 98,198                                               | 99%                        | 7,212                                                          | 113,959                              |
| Centrum Wynajmu Nieruchomości 6 S.A.*                      | Poland, Krotoszyn        | 94,839                                               | 99%                        | 7,454                                                          | 109,322                              |

\* Company's tentative data before audit by auditor

\*\* Company not subject to audit by a chartered auditor

The percentage of voting rights corresponds to the shareholding in the share capital.

#### 44. AVOIDANCE OF PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS

The Company prepares consolidated financial statements.

#### 45. MERGERS OF COMMERCIAL COMPANIES

In 2018, a merger between Dino Polska S.A. and Pol-Food Polska sp. z o.o. was carried out, which was registered on 21 December 2018. The acquirer is Dino Polska S.A. and the acquiree is Pol-Food Polska sp. z o.o., which conducted the business of leasing intellectual property and similar products, except copyrighted works. The companies carried out the merger pursuant to Article 492 §1 sec. 1 of the Commercial Company Code, i.e. by transferring all the assets of the Acquiree to the Acquirer.

The merger was settled in the Company's books using the pooling of interest method under art. 44c of the Accounting Act. This method involves summing up the various line items of the relevant assets and liabilities as well as the revenues and expenses of the merged companies, as at the merger date, after first converting their values using uniform measurement methods and making the relevant exclusions and eliminating historical transactions between the companies.

The effects of the merger and their impact on the Company's capital have been presented in the statement of changes in equity. The Company has recognized the changes stemming from the merger in Other items of equity.

The merger was conducted without a stock issue. The Acquiree was fully-owned by Dino Polska S.A. The statement of revenues and costs between the companies is presented in the statement below.

| <i>(in thousands of PLN)</i>                    | <i>Dino Polska S.A.</i> | <i>Pol-Food Polska sp. z o.o.</i> |
|-------------------------------------------------|-------------------------|-----------------------------------|
| Procurements                                    | 62,769                  | 24                                |
| Sales                                           | 24                      | 62,769                            |
| Financial income (dividends and profit sharing) | 50,560                  | -                                 |
| Supplementary capital                           | -                       | 37,746                            |
| Charge to net profit during the financial year  | -                       | 12,814                            |

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The following tables present the approved financial data of the merged companies:

|                                              | <i>Dino Polska S.A.</i> |  | <i>Pol-Food Polska sp. z o.o.</i> |  |
|----------------------------------------------|-------------------------|--|-----------------------------------|--|
|                                              | <i>As at</i>            |  | <i>As at</i>                      |  |
| <i>(in thousands of PLN)</i>                 | <i>31.12.2017</i>       |  | <i>31.12.2017</i>                 |  |
| <b>A. Non-current assets</b>                 | <b>1,540,524</b>        |  | <b>300,298</b>                    |  |
| I. Intangible assets                         | 10,284                  |  | 241,595                           |  |
| II. Property, plant and equipment            | 773,768                 |  | 75                                |  |
| III. Non-current receivables                 | -                       |  | -                                 |  |
| IV. Non-current investments                  | 738,809                 |  | 54,105                            |  |
| V. Non-current prepayments and accruals      | 17,663                  |  | 4,523                             |  |
| <b>B. Current assets</b>                     | <b>711,149</b>          |  | <b>65,202</b>                     |  |
| I. Inventories                               | 358,573                 |  | -                                 |  |
| II. Current receivables                      | 62,821                  |  | 63,549                            |  |
| III. Current investments                     | 257,052                 |  | 1,650                             |  |
| IV. Current prepayments and accruals         | 32,703                  |  | 3                                 |  |
| <b>C. Contributions due to share capital</b> | <b>-</b>                |  | <b>-</b>                          |  |
| <b>D. Treasury stock</b>                     | <b>-</b>                |  | <b>-</b>                          |  |
| <b>Total assets</b>                          | <b>2,251,673</b>        |  | <b>365,500</b>                    |  |

|                                                                         | <i>Dino Polska S.A.</i> |  | <i>Pol-Food Polska sp. z o.o.</i> |  |
|-------------------------------------------------------------------------|-------------------------|--|-----------------------------------|--|
|                                                                         | <i>As at</i>            |  | <i>As at</i>                      |  |
| <i>(in thousands of PLN)</i>                                            | <i>31.12.2017</i>       |  | <i>31.12.2017</i>                 |  |
| <b>A. Equity</b>                                                        | <b>658,158</b>          |  | <b>327,919</b>                    |  |
| I. Share capital                                                        | 9,804                   |  | 245,540                           |  |
| II. Supplementary capital                                               | 548,350                 |  | 72,995                            |  |
| III. Revaluation reserve                                                | -                       |  | -                                 |  |
| IV. Other reserve capital                                               | -                       |  | -                                 |  |
| V. Profit (loss) brought forward                                        | -                       |  | (18,817)                          |  |
| VI. Net profit (loss)                                                   | 92,504                  |  | 28,201                            |  |
| VII. Other items of equity                                              | 7,500                   |  | -                                 |  |
| VIII. Charges to net profit during the financial year (negative figure) | -                       |  | -                                 |  |
| <b>B. Liabilities and provisions for liabilities</b>                    | <b>1,593,515</b>        |  | <b>37,581</b>                     |  |
| I. Provisions for liabilities                                           | 18,219                  |  | 14,368                            |  |
| II. Non-current liabilities                                             | 492,041                 |  | -                                 |  |
| III. Current liabilities                                                | 1,064,007               |  | 23,188                            |  |
| IV. Accruals and deferred revenue                                       | 19,248                  |  | 25                                |  |
| <b>Total liabilities and equity</b>                                     | <b>2,251,673</b>        |  | <b>365,500</b>                    |  |

|                                                                | <i>Dino Polska S.A.</i>      |  | <i>Pol-Food Polska sp. z o.o.</i> |  |
|----------------------------------------------------------------|------------------------------|--|-----------------------------------|--|
|                                                                | <i>01.01.2017-31.12.2017</i> |  | <i>01.01.2017-31.12.2017</i>      |  |
| <i>(in thousands of PLN)</i>                                   |                              |  |                                   |  |
| A. Net revenues on sales and equivalents                       | 4,448,168                    |  | 56,383                            |  |
| B. Operating expenses                                          | 4,285,704                    |  | 21,980                            |  |
| <b>C. Sales profit (loss) (A – B)</b>                          | <b>162,464</b>               |  | <b>34,403</b>                     |  |
| D. Other operating income                                      | 2,765                        |  | -                                 |  |
| E. Other operating expenses                                    | 1,924                        |  | -                                 |  |
| <b>F. Operating profit (loss) (C+D-E)</b>                      | <b>163,305</b>               |  | <b>34,403</b>                     |  |
| G. Financial income                                            | 5,944                        |  | 2,014                             |  |
| H. Financial expenses                                          | 43,717                       |  | 1,477                             |  |
| <b>I. Profit / (loss) before tax (F + G - H)</b>               | <b>125,532</b>               |  | <b>34,940</b>                     |  |
| J. Income tax                                                  | 33,028                       |  | 6,739                             |  |
| K. Other compulsory reductions in profit (increases in losses) | -                            |  | -                                 |  |
| <b>L. Net profit (loss) (I – J – K)</b>                        | <b>92,504</b>                |  | <b>28,201</b>                     |  |

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| <i>(in thousands of PLN)</i>                                               | <i>Dino Polska S.A.</i><br><i>01.01.2017-31.12.2017</i> | <i>Pol-Food Polska sp. z o.o.</i><br><i>01.01.2017-31.12.2017</i> |
|----------------------------------------------------------------------------|---------------------------------------------------------|-------------------------------------------------------------------|
| A. Cash flow from operating activities                                     |                                                         |                                                                   |
| I. Net profit (loss)                                                       | 92,504                                                  | 28,201                                                            |
| II. Total adjustments                                                      | 313,251                                                 | 6,637                                                             |
| <b>III. Net cash from operating activities (I±II)</b>                      | <b>405,755</b>                                          | <b>34,838</b>                                                     |
| B. Cash flow from investing activities                                     |                                                         |                                                                   |
| I. Proceeds                                                                | 20,218                                                  | 2,734                                                             |
| II. Expenditures                                                           | (359,858)                                               | (38,000)                                                          |
| <b>III. Net cash flow from investing activities (I-II)</b>                 | <b>(339,640)</b>                                        | <b>(35,266)</b>                                                   |
| C. Cash flow from financing activities                                     |                                                         |                                                                   |
| I. Proceeds                                                                | 239,203                                                 | -                                                                 |
| II. Expenditures                                                           | (173,942)                                               | (1,477)                                                           |
| <b>III. Net cash from financing activities (I-II)</b>                      | <b>65,261</b>                                           | <b>(1,477)</b>                                                    |
| <b>D. Total net cash flow (A.III±B.III±C.III)</b>                          | <b>131,376</b>                                          | <b>(1,905)</b>                                                    |
| <b>E. Balance sheet movement in cash, including</b>                        | <b>131,376</b>                                          | <b>(1,905)</b>                                                    |
| - movement in cash arising from changes in foreign currency exchange rates | -                                                       | -                                                                 |
| <b>F. Cash at the beginning of the period</b>                              | <b>54,232</b>                                           | <b>2,276</b>                                                      |
| <b>G. Cash at the end of the period (F±D), including</b>                   | <b>185,608</b>                                          | <b>370</b>                                                        |
| - restricted cash                                                          | -                                                       | -                                                                 |

#### 46. FINANCIAL INSTRUMENTS

##### Objectives and principles of managing financial risk

The Company is exposed to market risk, which encompasses mostly the risk of changing interest rates, but is not exposed to foreign exchange rate fluctuation risk. The Company does not hold and does not issue any financial derivatives held for trading.

The Company has guidelines and recommendations in place for managing financial risk, which define its comprehensive operating strategies, risk tolerance level and the overall risk management philosophy.

##### *Interest rate risk*

The Company's exposure to market risk caused by volatility of interest rates concerns primarily received loans and concluded lease contracts. The Company does not hedge its investment portfolio using financial derivatives.

##### *Foreign exchange risk*

Since a predominant part of the revenues and costs is on Polish zloty, the Company is not exposed to any material foreign exchange risk on account of its transactions.

##### *Credit risk*

Due to the nature of the Company (predominant part of the turnover is in cash) credit risk is insignificant. The Company does not use and hedging against credit risk. Potential credit risk pertains to trade receivables and granted loans, including loans granted to subsidiaries which, as at 31 December 2018, amount to PLN 134,691 thousand.

##### *Interest income and costs following from concluded contracts*

The table below presents the interest income and costs following from concluded contracts and pertaining to all of the Company's financial instruments, which were in the financial statements.

**Year ended 31 December 2018**

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| <i>Financial asset / liability category</i> | <i>Realized interest</i> | <i>Accrued interest (unrealized)</i> |                            |                       |
|---------------------------------------------|--------------------------|--------------------------------------|----------------------------|-----------------------|
|                                             |                          | <i>up to 3 months</i>                | <i>from 3 to 12 months</i> | <i>over 12 months</i> |
| Granted loans and own receivables           | 248                      | 4,949                                | -                          | -                     |
| Liabilities held for trading                | 19,539                   | -                                    | -                          | -                     |
| Other short-term financial liabilities      | 22,395                   | 1,042                                | -                          | -                     |

**Year ended 31 December 2017**

| <i>Financial asset / liability category</i> | <i>Realized interest</i> | <i>Accrued interest (unrealized)</i> |                            |                       |
|---------------------------------------------|--------------------------|--------------------------------------|----------------------------|-----------------------|
|                                             |                          | <i>up to 3 months</i>                | <i>from 3 to 12 months</i> | <i>over 12 months</i> |
| Granted loans and own receivables           | 1,945                    | 3,956                                | -                          | -                     |
| Liabilities held for trading                | 15,569                   | -                                    | -                          | -                     |
| Other short-term financial liabilities      | 19,570                   | 1,528                                | -                          | -                     |

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**Description of financial instruments**

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|                                                                                                              | <i>Financial assets held to maturity</i> | <i>Granted loans and own receivables</i>              | <i>Financial assets held for trading</i> | <i>Financial assets available for sale</i> | <i>Other financial liabilities</i>                                                                                                                                                                                                                                                                                              |
|--------------------------------------------------------------------------------------------------------------|------------------------------------------|-------------------------------------------------------|------------------------------------------|--------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Quantity of financial instruments                                                                            | 4                                        | 84                                                    | -                                        | -                                          | 1,067                                                                                                                                                                                                                                                                                                                           |
| Value of financial instruments                                                                               | 179,658                                  | 134,691                                               | -                                        | -                                          | 731,332                                                                                                                                                                                                                                                                                                                         |
| Material terms and dates, which may influence the size, time distribution and certainty of future cash flows | Current bank term deposits               | Loans granted for up to one year, fixed interest rate |                                          |                                            | Current financing loans received from related entities for up to 4 years, fixed interest rate. Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, SG EQUIPMENT, SGB Leasing, Nordea Finance - agreements concluded for a term from 2 to 5 years. Loan agreements (note 11, 18) |

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|                                                                                                              | <i>Financial assets held to maturity</i> | <i>Granted loans and own receivables</i>              | <i>Financial assets held for trading</i> | <i>Financial assets available for sale</i> | <i>Other financial liabilities</i>                                                                                                                                                                                                                                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------------|------------------------------------------|-------------------------------------------------------|------------------------------------------|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Quantity of financial instruments                                                                            | 5                                        | 45                                                    | -                                        | -                                          | 1,215                                                                                                                                                                                                                                                                                                                                                                                               |
| Value of financial instruments                                                                               | 93,258                                   | 47,323                                                | -                                        | -                                          | 595,387                                                                                                                                                                                                                                                                                                                                                                                             |
| Material terms and dates, which may influence the size, time distribution and certainty of future cash flows | Current bank term deposits               | Loans granted for up to one year, fixed interest rate |                                          |                                            | Current financing loans received from related entities for up to 4 years, fixed interest rate. Operating and financial lease agreements entered into with, among others, ING Leasing, BRE Leasing, SG EQUIPMENT, SGB Leasing, Nordea Finance - agreements concluded for a term from 2 to 5 years. Loan agreements (note 11, 18). Outstanding bonds bearing interest at a floating-rate plus margin. |

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**Fair value**

The Company believes that the carrying amounts of all the financial instruments presented in the financial statements are no different from their fair values.

|                                                        | <i>Carrying amount</i> |                   |
|--------------------------------------------------------|------------------------|-------------------|
|                                                        | <i>31.12.2018</i>      | <i>31.12.2017</i> |
| <i>Financial assets</i>                                |                        |                   |
| Cash                                                   | 275,825                | 185,978           |
| Trade receivables                                      | 21,721                 | 38,124            |
| Other financial assets (non-current)                   | 727,435                | 728,943           |
| <b>Total</b>                                           | <b>1,024,981</b>       | <b>953,045</b>    |
| <i>Financial liabilities</i>                           |                        |                   |
| Trade payables                                         | 969,829                | 710,791           |
| Interest-bearing bank credit and loans:                |                        |                   |
| - finance lease and hire-purchase liabilities          | 98,243                 | 120,365           |
| - Loans and borrowings based on floating interest rate | 532,606                | 374,618           |
| Bonds                                                  | 100,483                | 100,404           |
| <b>Total</b>                                           | <b>1,701,161</b>       | <b>1,306,178</b>  |

**47. EVENTS AFTER THE REPORTING PERIOD**

On 11 February 2019, an investment loan agreement was executed between the Company and Powszechna Kasa Oszczędności Bank Polski Spółka Akcyjna with its registered office in Warsaw, ul. Puławska 15, for the amount of PLN 80 million. The agreement was signed to finance the ongoing network rollout of stores run by the Company under the Dino brand. The loan was extended in the Polish currency for a period from 11 February 2019 to 11 August 2026. The interest on the loan will be set using at a floating interest rate equal to the WIBOR 1M reference rate plus PKO BP SA's margin.

In the opinion of the Management Board, there were no other material events after the balance sheet date requiring disclosure in the financial statements.